

Business Model and Markets

The Telekom Austria Group is securing its leading position in a highly competitive environment by focusing on convergent telecommunication solutions from a single source.

Page 4

Clear Corporate Strategy

Operational excellence with a focus on convergent products, value-enhancing growth projects and consolidation opportunities in current operating markets.

Page 7

Corporate Governance Report

Adherence to strict principles, transparency and a policy of open communication ensure responsible company management and control.

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Group Management Report

2010 in line with forecast. Outlook 2011: Revenues up to EUR 4.60 billion, EBITDA comparable up to EUR 1.60 billion. 55% of free cash flow as dividend, dividend floor of EUR 0.76 per share.

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Hannes Ametsreiter and Hans Tschuden at the press conference for the full year 2010

The Most Innovative and Efficient Telecommunication Operator in CEE

The vision of the Telekom Austria Group

In 2010, the Telekom Austria Group created a solid basis for realizing this vision. In Austria, fixed line and mobile communication operations were merged to form A1 Telekom Austria and an increase in fixed access lines was registered for the first time in 13 years. As the only fully integrated operator in Austria, the Telekom Austria Group will be able to reap greater benefits from its convergent product portfolio going forward, while at the same time achieving valuable cost savings

over the medium term. In Bulgaria, the acquisition of two alternative fixed line operators in 2010 laid the basis for a convergent product portfolio. Parallel to this, the Telekom Austria Group continued to grow its mobile communication business, expanding its subscriber base by 940,000 to 19.9 million customers. In Belarus, a UMTS service was successfully launched in 2010. In the Republic of Serbia, the EBITDA comparable break-even target was reached according to plan. In the year

under review, investments to increase capacity in network infrastructures were intensified and operating expenses optimized. Further detailed information about the Telekom Austria Group's business model and operating markets can be found on ► Page 5

Dividend of EUR 0.75 in 2010

In 2010, the Telekom Austria Group actively and successfully faced up to the challenges of its operating markets: Innovative, integrated communication solutions with a clear customer focus contributed to creating a unique selling proposition, helping the company gain a competitive advantage over its rivals in the highly competitive markets in which it operates. The focus on efficiency under the motto "operational excellence" contributed to counteracting the negative impact of price pressure and regulatory measures on the development of results. Group revenues dropped by 3.1% to approximately EUR 4.65 billion and EBITDA comparable by 9.1% to approximately EUR 1.65 billion. Net debt was reduced by 8.6% to EUR 3.3 billion; net debt to EBITDA comparable remained stable at 2.0x. As previously announced, a dividend of EUR 0.75 per share for the 2010 business year will be proposed to the Annual General Meeting. ► Page 3

Customer-Oriented Solutions

Successful Product Bundles

Claudia Winkler, Group Chief Marketing Officer, about the added value and customer convenience of the Telekom Austria Group's convergent products. ► Page 6

Innovation and Technology

Smart Application of New Technologies

Johann Pichler, Group Chief Technology Officer, about the swift and cost-efficient expansion of network infrastructure to increase transmission capacities. ► Page 9

16,501 Employees

Group-wide Development and Transfer of Know-How

Silvia Buchinger, Group Chief Human Resources Officer, about the new Telekom Austria Group Business School and the promotion of a common corporate culture. ► Page 12

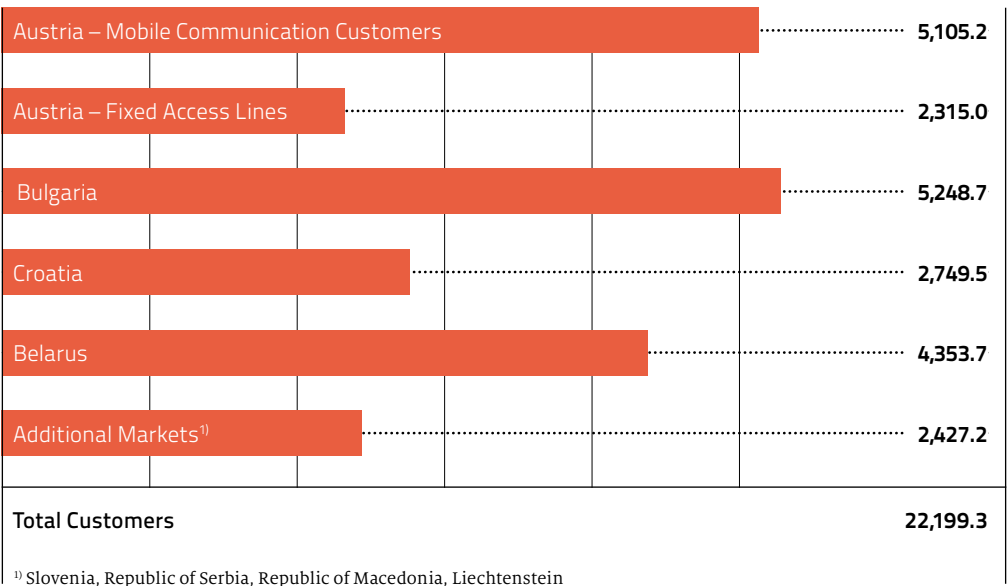
Consolidated Financial Statements – 2010 in Figures

The audited CFS 2010 can be found in our supplement.

22 mn Customers in eight Countries

The Telekom Austria Group, which is listed on the Vienna Stock Exchange, is a leading telecommunication provider serving approximately 22 million customers in eight countries in Central and Eastern Europe: Austria (A1 Telekom Austria), Bulgaria (Mobiltel), Croatia (Vipnet), Belarus (velcom), Slovenia (Si.mobil), the Republic of Serbia (Vip mobile), the Republic of Macedonia (Vip operator) and Liechtenstein (mobikom liechtenstein). In 2010, the Telekom Austria Group employed an average of 16,580 people, generating revenues of approximately EUR 4.65 billion. The broad portfolio of fixed line and mobile communication products and services includes voice telephony, broadband Internet, multimedia services, IPTV, data and IT services, wholesale and payment solutions.

Customer Structure of the Telekom Austria Group in '000 as of Dec. 31, 2010



Key Figures of the Telekom Austria Group

	2010	Change in %	2009	2008
Fixed Access Lines – Austria in '000				
Total fixed access lines	2,315.0	0.1	2,313.5	2,336.8
of which broadband lines	1,161.0	13.5	1,022.6	885.7
thereof retail broadband lines	1,115.5	14.7	972.4	818.9
thereof wholesale broadband lines	45.5	–9.4	50.2	66.8
aonTV customers	151,300	49.4	101,300	63,800
Mobile Communication Customers in '000				
in Austria	5,105.2	5.6	4,834.2	4,496.3
in Bulgaria	5,248.7	–1.9	5,352.5	5,396.2
in Croatia	2,749.5	5.6	2,603.0	2,486.6
in Belarus	4,353.7	6.1	4,102.4	3,697.9
in Slovenia	618.9	5.0	589.4	570.6
in the Republic of Serbia	1,359.7	17.8	1,153.9	907.9
in the Republic of Macedonia	442.2	45.6	303.7	242.0
in Liechtenstein	6.4	1.6	6.3	5.9
Total	19,884.3	5.0	18,945.4	17,803.4
Employees (full-time equivalents as of Dec. 31)				
	16,501	–0.4	16,573	16,954
Key Financial Data in EUR million				
Revenues	4,650.8	–3.1	4,802.0	5,170.3
of which generated abroad in %	35.4	–	34.5	–
EBITDA comparable ¹⁾	1,645.9	–9.1	1,811.6	1,912.9
of which generated abroad in %	38.5	–	36.0	–
EBITDA comparable margin in %	35.4	–	37.7	37.0
EBITDA including restructuring and impairment charges	1,503.5	4.3	1,441.8	1,276.0
Operating income	437.9	27.3	343.9	120.7
Net income/loss	195.2	105.7	94.9	–48.8
Free cash flow ²⁾	634.0	–5.9	674.0	756.2
Cash flow generated from operations	1,397.5	0.9	1,385.4	1,563.8
Capital expenditures ³⁾	763.6	7.3	711.4	807.6
Net debt	3,305.2	–8.6	3,614.8	3,993.3
Equity	1,476.9	–8.5	1,614.2	2,155.6
Equity ratio in %	19.5	–	19.0	24.0
Net debt to EBITDA comparable	2.0x	–	2.0x	2.1x
Return on Invested Capital – ROIC ⁴⁾ in %	6.2	–	4.8	1.2
Return on Equity – ROE ⁴⁾ in %	12.6	–	5.0	–2.1
Key Stock Exchange Data				
Earnings/loss per share in EUR	0.44	105.3	0.22	–0.11
Free cash flow per share in EUR	1.43	–6.0	1.52	1.71
Market capitalization as of Dec. 31, in EUR billion	4.7	6.8	4.4	4.7
Share price as of Dec. 31, in EUR	10.52	5.7	9.95	10.30
Share price – high in EUR	11.40	–11.4	12.87	19.50
Share price – low in EUR	8.90	–3.6	9.23	8.10
Dividend per dividend-bearing share ⁵⁾ in EUR	0.75	0.0	0.75	0.75

1) Defined as EBITDA adjusted for restructuring charges and, when applicable, for impairment charges.
2) Defined as cash flow generated from operations after capital expenditures in existing business areas.
3) Excluding expenditures for asset retirement obligations.
4) For definitions see glossary.
5) According to the proposal to the Annual General Meeting.

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The audited consolidated financial statements can be found in our supplement.



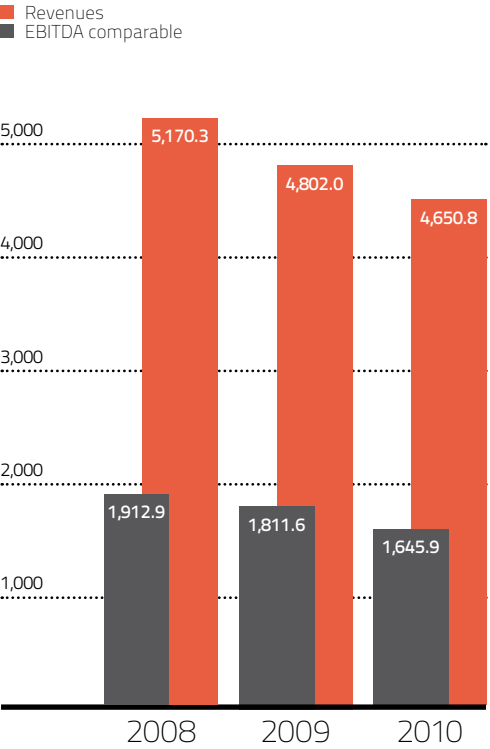
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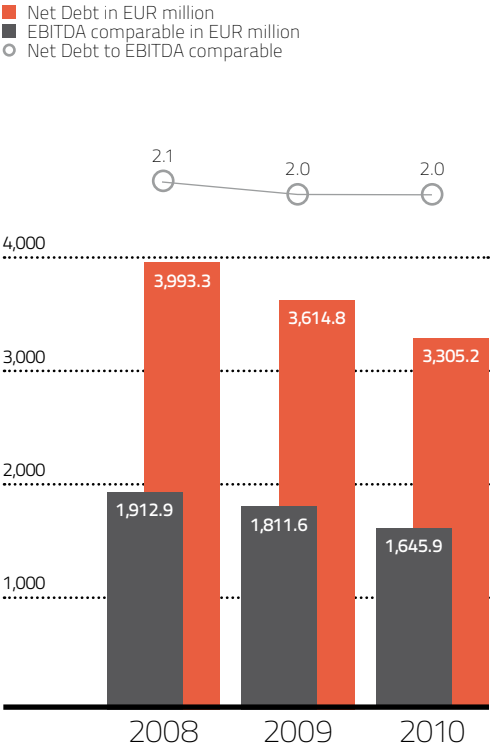


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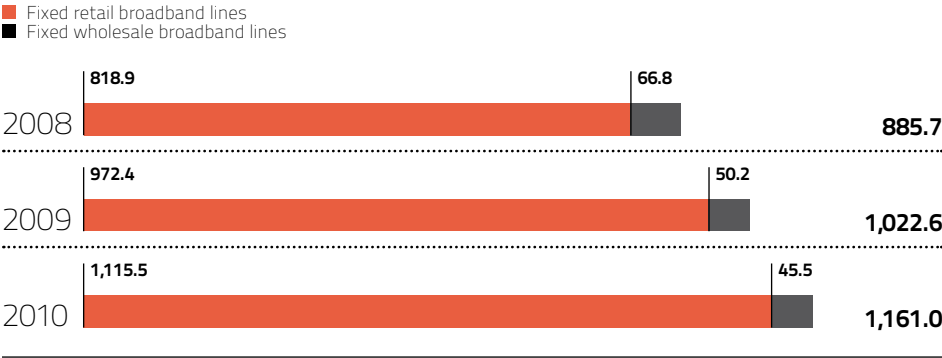
Development of Revenues and EBITDA comparable in EUR million



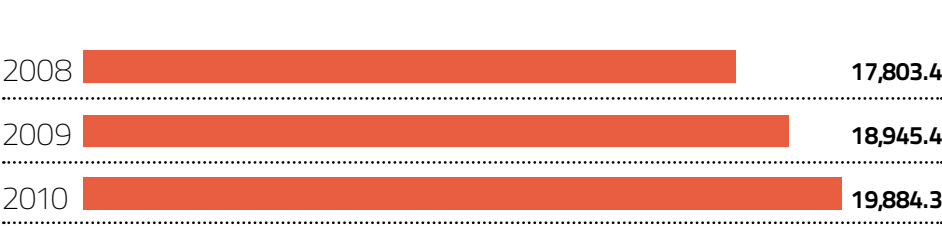
Development of Net Debt and EBITDA comparable



Development of Fixed Broadband Lines in Austria in '000



Customer Numbers Mobile Communication in '000



Forward-looking Statements This annual report contains forward-looking statements that involve risks and uncertainties. These forward-looking statements are usually accompanied by words such as “believe”, “intend”, “anticipate”, “plan”, “expect” and similar expressions. We caution that a number of important factors could cause actual results or outcomes to differ materially from those expressed in any forward-looking statement. These factors include, but are not limited to, the following: • the level of demand for telecommunications services or equipment, particularly with regard to access lines, traffic, bandwidth and new products; • competitive forces in liberalized markets, including pricing pressures, technological developments and new access technologies, and our ability to retain market share in the face of competition from existing and new market entrants; • the effects of our tariff reduction initiatives or other marketing initiatives; • the impact of insolvencies of our major customers or international suppliers; • the regulatory developments and changes, including the levels of tariffs, the terms of interconnection, unbundling of access lines and international settlement arrangements; • our ability to achieve cost savings and realize productivity improvements; • the success of new business, operating and financial initiatives, many of which involve start-up costs, and new systems and applications, particularly with regard to the integration of service offerings of our newly integrated subsidiaries; • our ability to secure the licenses we need to offer new services and the cost of these licenses and related network infrastructure build-outs; • the progress of our domestic and international investments, joint ventures and alliances; • the impact of our new business strategies and transformation process including the reintegration of subsidiaries and restructuring of operations; • the availability, terms and deployment of capital and the impact of regulatory and competitive developments on capital expenditures; • the outcome of current and future litigation in which we are or will be involved; • the level of demand for our shares which can affect our business strategies; • our ability to further reduce our existing workforce; • concerns over health risks associated with the use of wireless handsets or radio frequency emissions from transmission masts; • changes in the law including regulatory, civil servants and social security, pensions and tax law; and • general economic conditions, government and regulatory policies, new legislation and business conditions in the markets we serve.

Dear Shareholders,

The title of this year’s annual report in newspaper format is “Future” and the cover story sets out our vision for this future: namely to develop the Telekom Austria Group into the most innovative and efficient telecommunication provider in Central and Eastern Europe.

Along with our core values “Innovation”, “Quality”, “Diversity” and “Responsibility”, this vision is not only at the heart of our new corporate identity, which we implemented with the restructuring of the Telekom Austria Group in mid 2010 (see page 7), it is also our response to the challenges we are facing in our markets. Innovative, integrated communication solutions with a clear customer focus help us create a unique selling proposition and gain a competitive advantage over our rivals in the highly competitive markets in which we operate. Our focus on efficiency under the motto “operational excellence” contributes to counteracting the negative impact of price pressure and regulatory measures on the development of results.

In the year under review, we have responded to these market trends and, in particular, to clear customer demand for convergent services by merging our Austrian fixed line and mobile communication operations into a new company, A1 Telekom Austria. Following the success of our product bundles combining fixed line, mobile communication, broadband Internet, TV and other attractive broadband services, which we have been offering on the Austrian market since 2007, this merger was the next logical step to better respond to the global trend towards convergence. The over 900,000 customers, using the integrated fixed line and mobile communication services of the Telekom Austria Group at the end of 2010, provide impressive evidence of the success of our new corporate orientation. The acquisition of two alternative fixed line operators in Bulgaria, which was finalized in February 2011 following extensive preparatory work in 2010, marked another key milestone of this strategy. As a result of this step, our Bulgarian subsidiary Mobiltel was able to launch its first convergent products onto the market at the end of 2010.

Besides these strategic and operational highlights, what were the other most important developments that shaped the development of the business year for the Telekom Austria Group in 2010?

Competition remained intense in all 8 of the Group’s operating markets, requiring high levels of creativity and innovation with regard to pricing structures and product design. Against this backdrop, we were able to achieve mobile customer growth of approximately 940,000 to 19.9 million subscribers, mainly driven by the continuing success of mobile broadband and smartphones. Following the successful introduction of UMTS, the Belarusian segment was able to win 140,000 mobile broadband subscribers. In Bulgaria, the mobile broadband customer base was doubled to 126,000 and both Croatia and Slovenia recorded an increase of approximately 30% and approximately 20% respectively. The Republic of Serbia and the Republic of Macedonia also showed a dynamic development, with total customer numbers rising by 17.8% and 45.6% respectively.

In Austria, the fixed-to-mobile substitution trend continued throughout 2010. However, we were one of the few European operators able to stop the decline in fixed access lines in the year under review, recording a slight increase for the first time in 13 years. This positive turnaround in our fixed line customer base is mainly attributable to our attractive broadband portfolio and the success of our product bundles.

However, despite these favorable developments we could not prevent intrusive regulatory mea-



Hans Tschuden
Vice Chairman of the Management Board

Hannes Ametsreiter
Chairman of the Management Board

asures and competition-driven price pressure from negatively impacting the Telekom Austria Group’s revenue and earnings development.

As a result, group revenues dropped by 3.1% to EUR 4,650.8 million and EBITDA comparable, which does not include restructuring and impairment charges, by 9.1% to EUR 1,645.9 million compared to the previous year. Both developments are in line with our forecasts for the full-year 2010.

Total restructuring and impairment charges remained below the previous year’s level. As a result, EBITDA including restructuring and impairment charges improved by 4.3% to EUR 1,503.5 million in the year under review. In 2009, impairment charges resulted from the reduction of velcom’s goodwill due to the devaluation of the Belarusian ruble and from the mobile license in the Republic of Serbia due to the challenging economic conditions in that country. In 2010, restructuring expenses in the Austrian segment amounted to EUR 124.1 million and an impairment charge of EUR 18.3 million was recorded. Due to the improved EBITDA including restructuring and impairment charges and the partial stabilization of foreign currencies, operating income increased by 27.3% to EUR 437.9 million in the year under review. Supported by an improved financial result, net profit more than doubled to EUR 195.2 million on a year-on-year basis and earnings per share reached EUR 0.44 after EUR 0.22 in the previous year.

These developments at group level are the result of strongly varying trends in the individual segments, which in 2010 were reorganized on the basis of geographical markets. In the Austrian segment a stronger decline in revenues and EBITDA comparable was recorded than at group level, with both domestic revenues and EBITDA comparable dropping by 4.4% and 12.3% respectively. Mo-

bile subscriber growth of 5.6% to over 5.1 million customers and the increase in fixed access lines of 1,400 to 2.3 million lines were unable to compensate for the negative impact of the regulation-induced reduction of roaming tariffs and interconnection fees. For similar reasons, revenues in the Bulgarian segment declined by 8.2% and EBITDA comparable by 8.7% and in Croatia by 5.2% and 11.9% respectively. In Belarus, revenue growth of 14.4% and a 3.8% improvement of EBITDA comparable were recorded thanks to the successful introduction of mobile broadband products and the expansion of the mobile subscriber base. In the segment “Additional Markets”, which encompasses the Telekom Austria Group’s business activities in Slovenia, the Republic of Serbia, the Republic of Macedonia and Liechtenstein, Slovenia showed a decline in revenues of 3.4%, while Vip operator in the Republic of Macedonia registered revenue growth of 65.2%. The Republic of Serbia also showed a favorable development, with Vip mobile recording a revenue plus of 29.8% and reaching the EBITDA comparable break-even target according to plan in the year under review.

Thus, the 2010 business performance, which on the whole can be deemed positive, should be judged in the light of these regional differences, while not forgetting to take the external effects referred to above into account. No significant improvement in the competitive situation is anticipated in 2011 and the regulation-induced reduction of roaming tariffs and termination charges is expected to continue. For the full year 2011, group revenues are expected to amount to up to EUR 4.60 billion and EBITDA comparable to up to EUR 1.60 billion.

Based on its strong free cash flow generation, the Telekom Austria Group will still be able to offer you, our shareholders, a reliable and attractive return on the capital employed despite the cur-

rent global challenges. We will therefore propose a dividend of EUR 0.75 per share to the Annual General Meeting in May 2011 – as announced in 2009. In December 2010, we updated our cash use policy and defined a dividend payout ratio of 55% of free cash flow. The minimum dividend floor was increased to EUR 0.76 for the years 2011 and 2012, demonstrating our confidence in our ability to continue generating a strong cash flow and in the sustainable positive development of the Telekom Austria Group.

Going forward we will focus on fully leveraging the market potential of convergent products and services in Austria and in selected foreign markets as well as upon realizing value-enhancing growth projects and consolidation opportunities in our current operating markets. These are the main pillars of our strategy, which is aimed at securing the Telekom Austria Group’s successful position within its geographic footprint and at realizing our vision to become the most innovative and efficient telecommunication provider in the CEE area.

We would like to thank you, our shareholders, for the trust you have placed in us as we continue along this path and express our deep gratitude to the 16,500 employees in our 8 operating markets, who are working hard with us to ensure the future success of the Telekom Austria Group. ■

Sincerely,


Hannes Ametsreiter


Hans Tschuden

The Telekom Austria Group's International Presence

For several years, the Telekom Austria Group has been operating in selected Central and Eastern European markets in addition to Austria. In 2010, these international operations generated 35.4% of total revenues, after 34.5% in the previous year.



Austria		
	2010	Change compared to 2009
Population in millions	8.4	–
Per capita GDP in EUR (nominal)	32,668	–
Revenues in EUR million	3,064.2	–4.4%
EBITDA comparable in EUR million	1,032.4	–12.3%
Operating income in EUR million	225.0	–52.1%
Employees (full time equivalents as of Dec. 31)	9,717	–3.3%

Fixed line		
Total access lines in '000s	2,315.0	0.1%
Fixed broadband access lines in '000s	1,161.0	13.5%
Unbundled lines in '000s	278.1	–3.0%
Broadband penetration in Austria in % of total households	102.9	–
ARPL in EUR	33.3	–2.2%
Mobile communication		
Number of customers in '000s	5,105.2	5.6%
Mobile penetration in %	146.7	–
Market share in %	41.4	–
Mobile broadband customers	653,748	29.4%
ARPU in EUR	22.0	–9.5%

Bulgaria		
	2010	Change compared to 2009
Population in millions	7.5	–
Per capita GDP in EUR (nominal)	4,449	–
Revenues in EUR million	564.5	–8.2%
EBITDA comparable in EUR million	298.6	–8.7%
Operating income in EUR million	124.1	–16.1%
Mobile penetration in %	140.8	–
Number of customers in '000s	5,248.7	–1.9%
Share of contract customers in %	64.2	–
Market share in %	49.6	–
ARPU in EUR	8.3	–8.8%
Employees (full time equivalents as of Dec. 31)	2,453	–0.2%

Croatia		
	2010	Change compared to 2009
Population in millions	4.4	–
Per capita GDP in EUR (nominal)	10,108	–
Revenues in EUR million	451.9	–5.2%
EBITDA comparable in EUR million	150.5	–11.9%
Operating income in EUR million	82.9	–17.8%
Mobile penetration in %	144.5	–
Number of customers in '000s	2,749.5	5.6%
Share of contract customers in %	25.0	–
Market share in %	43.1	–
ARPU in EUR	11.3	–8.1%
Employees (full time equivalents as of Dec. 31)	1,059	–0.5%

Belarus		
	2010	Change compared to 2009
Population in millions	9.4	–
Per capita GDP in EUR (nominal)	4,189	–
Revenues in EUR million	343.6	14.4%
EBITDA comparable in EUR million	155.6	3.8%
Operating income in EUR million	73.4	–
Mobile penetration in %	109.6	–
Number of customers in '000s	4,353.7	6.1%
Share of contract customers in %	78.2	–
Market share in %	41.9	–
ARPU in EUR	6.2	1.6%
Employees (full time equivalents as of Dec. 31)	1,770	3.4%

Additional Markets

Slovenia		
	2010	Change compared to 2009
Population in millions	2.0	–
Per capita GDP in EUR (nominal)	17,191	–
Revenues in EUR million	174.0	–3.4%
EBITDA comparable in EUR million	45.1	–6.5%
Operating income in EUR million	24.0	–6.2%
Mobile penetration in %	102.7	–
Number of customers in '000s	618.9	5.0%
Share of contract customers in %	71.2	–
Market share in %	29.2	–
ARPU in EUR	20.5	–5.5%
Employees (full time equivalents as of Dec. 31)	331	0.6%

Republic of Serbia		
	2010	Change compared to 2009
Population in millions	7.4	–
Per capita GDP in EUR (nominal)	3,932	–
Revenues in EUR million	104.7	29.8%
EBITDA comparable in EUR million	0.0	–
Operating income in EUR million	–47.1	–67.1%
Mobile penetration in %	134.1	–
Number of customers in '000s	1,359.7	17.8%
Market share in %	13.7	–
ARPU in EUR	6.2	12.7%
Employees (full time equivalents as of Dec. 31)	811	5.1%

Republic of Macedonia		
	2010	Change compared to 2009
Population in millions	2.1	–
Per capita GDP in EUR (nominal)	3,462	–
Revenues in EUR million	35.8	65.2%
EBITDA comparable in EUR million	–5.2	–61.1%
Operating income in EUR million	–14.3	–31.4%
Mobile penetration in %	108.2	–
Number of customers in '000s	442.2	45.6%
Market share in %	19.9	–
ARPU in EUR	6.8	11.5%
Employees (full time equivalents as of Dec. 31)	196	14.0%

Liechtenstein		
	2010	Change compared to 2009
Population	36,000	–
Per capita GDP in EUR (nominal)	102,259	–
Revenues in EUR million	7.0	–55.2%
EBITDA comparable in EUR million	1.3	–62.9%
Operating income in EUR million	0.5	–82.1%
Mobile penetration in %	91.5	–
Number of customers in '000s	6.4	1.6%
Market share in %	20.2	–
ARPU in EUR	56.2	–1.9%
Employees (full time equivalents as of Dec. 31)	15	0.0%

The Most Innovative and Efficient Telecommunication Provider in Central and Eastern Europe

The Telekom Austria Group is the largest telecommunication company in Austria and is also successfully positioned in international markets with operating companies in Bulgaria, Croatia, Belarus, Slovenia, the Republic of Serbia, the Republic of Macedonia and in Liechtenstein.

At year-end 2010, more than 22 million customers relied upon fixed line and mobile communication products and services provided by the Telekom Austria Group in domestic and foreign markets. Total Group revenues in 2010 amounted to EUR 4,650.8 million, 35.4% of which were generated outside Austria.

The Telekom Austria Group started its international expansion in 1998 when it entered the Croatian market. Slovenia followed only three years later and in 2005 the Group acquired a majority stake in Mobiltel, the market leader in Bulgaria. The acquisition of velcom in Belarus in 2007 marked another milestone and in the same year, operations were launched in the Republic of Serbia and in the Republic of Macedonia.

Telekom Austria AG has been listed on the Vienna Stock Exchange since November 2000, and with a weighting of 9.5% at year-end 2010, is one of the most heavily traded shares in the leading index ATX.

As the only fully integrated operator in Austria, the Telekom Austria Group benefits from continued strong demand for convergent products and comprehensive telecommunication solutions, and has been successfully offering product bundles in a variety of combinations since the end of 2007. In order to better align the company's organizational structure with the latest market trends, the Group's domestic operations were restructured in the year under review and, in July 2010, the former Fixed Net and Mobile Communication companies in Austria were merged to form A1 Telekom Austria.

As a result, segment reporting has been adjusted accordingly and is now based on geographical markets instead of the previous segmentation in Fixed Net and Mobile Communication. All business activities on the domestic market are reported in the Austrian segment. The international activities of the Telekom Austria Group are now organized in the segments Bulgaria, Croatia, Belarus, and Additional Markets – which covers Slovenia, the Republic of Serbia, the Republic of Macedonia and Liechtenstein.

Change in the Segment Reporting Structure

Telekom Austria Group

- **Austria** (A1 Telekom Austria)
- **Bulgaria** (Mobiltel)
- **Croatia** (Vipnet)
- **Belarus** (velcom)
- **Additional Markets**
 - **Slovenia** (Si.mobil)
 - **Republic of Serbia** (Vip mobile)
 - **Republic of Macedonia** (Vip operator)
 - **Liechtenstein** (mobikom liechtenstein)
- **Corporate and Other**

Important Milestones in the Expansion of the Telekom Austria Group

Entry into the Croatian market (Vipnet)	IPO of Telekom Austria AG shares on the Vienna and New York stock exchanges, entry into the Liechtenstein market	Entry into the Slovenian market (Si.mobil)	Acquisition of the Bulgarian market leader Mobiltel	Entry into the Republic of Macedonia and into the Republic of Serbia, acquisition of velcom in Belarus, delisting from the New York Stock Exchange	Merger of Telekom Austria AG and mobikom austria AG to form A1 Telekom Austria AG in Austria, acquisition of two fixed line operators in Bulgaria
1998	2000	2001	2005	2007	2010

Convergent Telecommunication Solutions from a Single Source

The Telekom Austria Group operates in a highly competitive environment in both its fixed line and mobile communication markets, which are characterized by dynamic technological development. Fixed-to-mobile substitution is continuing unabated, posing unprecedented challenges to the company especially in the Austrian segment. While ten years ago approximately two thirds of total voice minutes were carried over fixed lines, this proportion has now fallen to around 20% due to migration to mobile communication. In the same period, the number of Telekom Austria Group fixed access lines has dropped from 3.2 million to 2.3 million. Although the Telekom Austria Group's mobile communication operations have benefited from this extremely dynamic development, the challenge was to safeguard the attractiveness of fixed access lines. The Group's corporate strategy was based on the introduction of attractive product bundles, which since late 2007

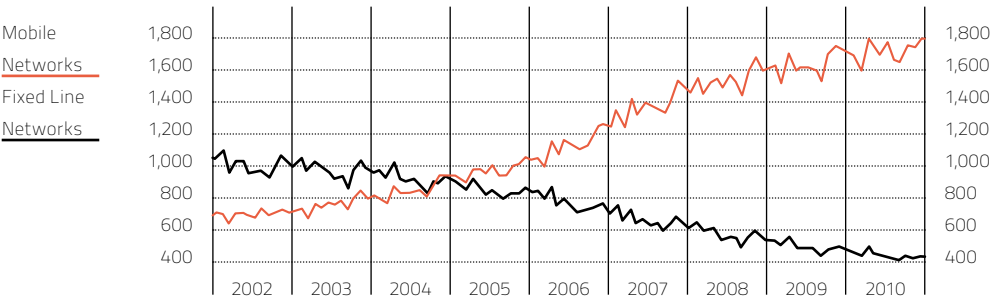
have included fixed line and mobile communication, broadband services and IPTV in a variety of combinations. After a significant slowdown in line loss in recent years, in 2010 fixed access lines recorded growth for the first time in over 10 years, rising by 1,400 to 2.3 million compared to 2009. The Telekom Austria Group is only one of a small number of fixed line operators in Europe to have managed this turnaround.

At year-end 2010, more than 900,000 customers were using integrated fixed line and mobile communication products of the Telekom Austria Group.

The mobile subscriber base registered an increase of approximately 940,000 to 19.9 million customers at year-end 2010, mainly driven by strong demand for mobile broadband and the success of smartphones.

Continued on page 6

Development of Traffic Volumes in Austria in millions of minutes per month



Interview

Hannes Ametsreiter
Chairman of the Management Board



"Integration optimizes our market position and creates added value for our customers"

Hannes Ametsreiter, Chairman of the Telekom Austria Group's Management Board, in an interview on the advantages and challenges resulting from the integration of the Austrian fixed line and mobile communication operations.

What were the main reasons behind the merger of the Austrian operations into A1 Telekom Austria?

Changed customer usage patterns have led to a new industry rationale and almost all our European peers are responding with similar steps. Customers don't care if their communication needs are fulfilled via fixed line or mobile communication technologies. They want comprehensive convergent solutions, possibly from a single source. By merging our domestic fixed line and mobile communication operations, we can offer our customers even greater advantages than before.

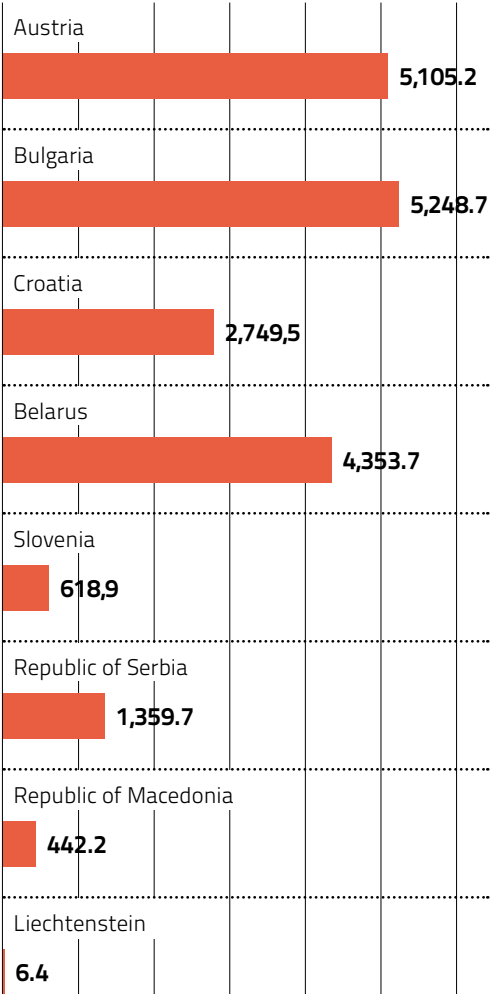
What did the merger entail in specific terms?

It was a very complex and far-reaching process and involved more than just merging two companies; a large number of organizational units and areas of responsibility had to be redefined and key positions filled. This was achieved in record time following extensive preparation work.

What kind of synergies are you pursuing with this integration?

The most important thing is that we will now be able

Mobile Communication Customers by Market (in '000)



to offer our customers all communication services from a single source. For this, we need to harmonize our processes to be able to leverage cross-selling potentials and ultimately also to focus on cost optimization. As a result of this merger, we expect positive contributions to results starting from the 2012 business year and an annual increase in free cash flow of EUR 100 million over the mid term. Of course we will also incur start-up costs in the years to come.

Will this integration also have an impact on transmission technologies?

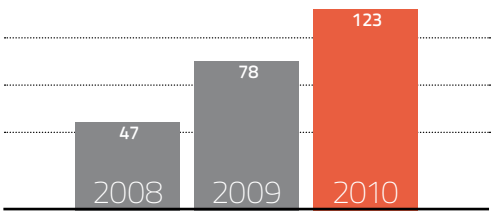
The fixed line and mobile network infrastructures have always been mutually dependent on one another. However, capacity requirements for transmission networks are increasing exponentially. Harmonized approaches and smart combinations enable us to push ahead with the rollout of our network infrastructure in a rapid and cost-efficient manner, while fully leveraging all available technological possibilities. This ultimately improves our earnings power and our market position, while creating clear added value for our customers.

Continued from page 5

Dynamic Growth in Data Volumes

During the last three years, the volume of data carried over the Telekom Austria Group network infrastructure in Austria has almost tripled to 123 petabytes, a development chiefly attributable to fundamental changes in customer usage patterns and technologically more advanced infrastructure, which permits higher volumes of data to be transported at greater speeds. In 2010, this trend was reflected by a 13.5% increase in the number of fixed broadband access lines to almost 1.2 million lines, and by the success of aonTV, which reported 49.4% growth to 151,300 subscribers. The growth momentum was even more apparent in the mobile broadband market, where A1 Telekom Austria was able to expand its subscriber base by 29.4% to more than 650,000 customers.

Fixed Line and Mobile Data Volumes in petabytes



In 2010, the Telekom Austria Group was also able to seize the growth opportunities offered by mobile broadband in the international markets. Mobitel in Bulgaria doubled its subscriber base to more than 126,000 customers. Vipnet reported a 30.5% increase in the number of mobile broadband customers to almost 179,000. Following the acquisition of the UMTS license in March 2010, velcom was able to win more than 143,000 mobile broadband customers by the end of 2010.

Competition and Regulation

Pricing flexibility is limited both by the intense competition in all the Telekom Austria Group's markets and by national and EU-wide regulations. The mobile communication markets in Austria, Bulgaria, Slovenia and Liechtenstein are subject to the pertinent regulations of the EU and the European Economic Area respectively, which govern roaming tariffs and mobile termination charges between the individual market players.

Since the first Roaming Regulation came into force in 2007, price caps for outgoing calls have been gradually lowered by 20% and those for incoming calls by 40%. Mobile termination charges have shown a similar declining trend, dropping by 40% up to 50%.

The second EU Roaming Regulation, which came into effect in June 2009 and will remain in force until mid 2012, continues along the present path. Croatia, Belarus, the Republic of Serbia and the Republic of Macedonia all have their own national regulatory systems, which in certain areas and at different speeds are gradually being harmonized with the EU system. Detailed information regarding market regulation can be found in the Group Management Report on page 17.

These external factors will continue to negatively impact the Telekom Austria Group's revenue and earnings development going forward. However, the company is actively responding to these challenges with a clear business strategy aimed at counteracting the negative impact of these external factors by combining improved operational efficiency and stringent cost management with innovative products and services that create added value for the customer.

Austria – A1 Telekom Austria

The clear trend toward convergent communication solutions and the integration of the underlying transmission systems on the Austrian telecommunication market has steadily gathered momentum in recent years. Against this backdrop, the Telekom Austria Group consolidated its position in the year under review by integrating its fixed line and mobile communication activities in Austria. At the same time, the integration provides the basis for leveraging internal synergies, reducing operating costs in the medium term, and pursuing a more efficient and customer-focused market approach. Within only a few months, the necessary preconditions were created for the merger of the fixed line and mobile communication companies to form A1 Telekom Austria AG. Critical processes and areas of responsibility were quickly harmonized or integrated and new organizational structures defined.

Business development in 2010 in the Austrian segment was characterized by a further increase in the number of mobile communication customers and a positive development in the number of fixed access lines.

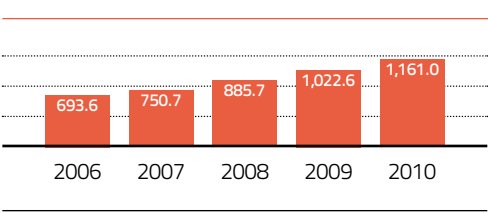
Growth in Fixed Access Lines

A1 Telekom Austria offers both residential and business customers a comprehensive fixed line product portfolio that includes voice telephony, broadband and data TV (IP-TV) as well as other attractive ICT services and solutions. The company's fixed line infrastructure is also made available to other national and international providers of fixed line, mobile communication and Internet services. Some of the company's business activities are subject to regulation by the national regulatory authority which also intervenes in pricing.

Due to the continuing success of product bundles and a 13.5% increase in the number of broadband lines to approximately 1.2 million, fixed access lines rose by 0.1% to 2.3 million in the year under review.

Fixed line voice minutes declined by 12.1% in 2010 to 2,972.7 million and average revenues per customer line (ARPL) by 2.2% to EUR 33.3. The company thus holds a 61.1% share of the voice telephony market and a 56.3% share of the fixed line broadband market.

Fixed Broadband Access Lines in '000



Further Increase in the Mobile Subscriber Base

With customer growth of 5.6% to 5.1 million subscribers and a market share of 41.4% after 42.6% in the previous year, A1 Telekom Austria remains the uncontested leader on the Austrian mobile communication market. This trend was mainly driven by continued strong demand for mobile broadband (+29.4% to approximately 654,000 customers). In 2010, the mobile penetration rate rose from 135.7% to 146.7%, a figure that is well above the West European average. Due to continuing pressure on prices and the negative effects of regulation on roaming and termination charges, average revenues per user (ARPU) fell by 9.5% to EUR 22.0. The share of contract customers rose by 3.2 percentage points to 76.0% while the churn rate remained low at 14.1% after 14.6% in the previous year.

Bulgaria – Mobitel

Despite a challenging economic environment, Mobitel's subscriber base in 2010 remained almost stable at 5.2 million customers compared to the previous year, reporting a market share of 49.6%. The proportion of contract customers rose from 59.0% to 64.2%. The mobile penetration

rate in Bulgaria remained virtually unchanged at 140.8% compared to the previous year. On the product side, Mobitel was able to defend its leading position both in the smartphone sales business and in the mobile broadband market, where its subscriber base grew by 110.0% to approximately 126,000 customers. Fixed-to-mobile substitution solutions such as M-Tel Home or the Office Box also continued to show strong market uptake.

As a fully integrated telecommunication provider, Mobitel is committed to fully exploiting the market potential for products like fixed line broadband, IPTV as well as convergent product packages, and VoIP. In line with the Group's strategy, Mobitel laid the groundwork for the acquisition of the two fixed line providers, Megalan Network AD and Spectrum Net AD, in the year under review and finalized the two transactions in early 2011. The Telekom Austria Group has thus successfully taken a first step outside Austria to leverage the potential of convergent products also beyond the domestic borders. Megalan is the leading alternative provider of fixed line broadband for residential customers in the Bulgarian capital Sofia, while Spectrum offers broadband and voice services for business customers in urban areas of Bulgaria. Both companies will be consolidated in the accounts of the Bulgarian segment as of Q1 2011. The first product packages were successfully launched in the fourth quarter of 2010.

Croatia – Vipnet

In 2010, the mobile penetration rate in Croatia increased by 6.1 percentage points to 144.5%. Vipnet expanded its subscriber base by 5.6% to almost 2.7 million customers, slightly increasing its market share from 42.6% to 43.1% and thus narrowing the gap to the market leader. The company's earnings development was negatively impacted by both intense competition and the 6% mobile communication levy introduced in August 2009 in response to the economic crisis. Average revenues per user (ARPU) declined by 8.1% to EUR 11.3 compared to the previous year. The mobile broadband business showed a positive performance, registering an increase of 30.5% to approximately 179,000 customers. Following the introduction of HSPA+ in 2009, Vipnet is now testing Long Term Evolution technology (LTE) to be able to respond to the further increase in data volumes going forward. The portfolio of convergent products was successfully expanded in 2010 to include custom-tailored offers for small and medium-sized enterprises. Furthermore, Vipnet successfully developed the first products for the machine-to-machine sector (M2M), which enables the flow of data between machines.

Belarus – velcom

With three operators, the Belarusian mobile communication market continued to be marked by fierce competition throughout 2010. The penetration rate increased by 10.2 percentage points to 109.6% compared to the previous year. However, despite a challenging economic environment, velcom was able to expand its customer base by 6.1% to 4.4 million subscribers and almost completely preserve its market share of 41.9%. Average revenues per user (ARPU) rose by 1.6% to EUR 6.2, not least of all due to the increasing importance of data traffic. The successful introduction of UMTS and HSPA+ within a record time of only eight months formed a solid basis for future growth in the area of mobile data communication. In October 2010, the Telekom Austria Group acquired the remaining 30% stake in velcom. Due to a previously existing put-call option agreement this company has already been fully consolidated.

Additional Markets

Slovenia – Si.mobil

With four operators and a mobile penetration rate of 102.7%, the Slovenian market, which has a population of approximately 2 million, is highly competitive. Nevertheless, in 2010 Si.mobil was able to increase customer numbers by 5.0% to approximately 619,000 and expand its market share from 28.2% to 29.2%. Mobile broadband availability in

Slovenia is significantly below the EU average. With the gradual introduction of HSPA+, Si.mobil intends to strengthen its position in this segment. At year-end 2010, there were approximately 14,600 mobile broadband customers in Slovenia.

Republic of Serbia – Vip mobile

The mobile communication market in the Republic of Serbia is characterized by a steady increase in the percentage of contract customers and a higher-than-average penetration rate of 134.1%. In 2010, Vip mobile grew its subscriber base by 17.8% to 1.4 million customers, expanding its market share by 12.0% to 13.7%. Average revenues per user (ARPU) rose by 12.7% to EUR 6.2 largely due to an increased number of contract customers, although the 10% mobile communication tax introduced in 2009 had a negative impact on business development. In the year under review, Vip mobile successfully managed the planned turnaround.

Republic of Macedonia – Vip operator

In the Republic of Macedonia, which has a population of approximately 2.1 million, there are two other mobile operators besides Vip operator. At 108.2%, the mobile penetration rate was 15.5 percentage points higher than in the previous year. Vip operator grew its customer base by 45.6% to approximately 442,000 subscribers, expanding its market share from 15.9% to 19.9%. Supported by an increase in the share of contract customers, average revenues per user (ARPU) rose by 11.5% to EUR 6.8.

Liechtenstein – mobilkom liechtenstein

In 2010, Liechtenstein registered an increase in the mobile penetration rate from 90.1% to 91.5%. With 6,400 customers mobilkom liechtenstein had a market share of 20.2%. ■

Commentary



Claudia Winkler
Group Chief
Marketing Officer

“Our Customers Are our Success”

Some 22 million customers across 8 CEE countries place their trust in the innovative telecommunication solutions of the Telekom Austria Group. We honor this loyalty with reliable service and innovative power with the ultimate objective of creating clear added value for our customers.

Convergent fixed-line and mobile communication solutions are opening up new business opportunities. In Austria alone, we were able to win more than 900,000 customers with our integrated product portfolio by year-end 2010.

We are determined to continue along this path to safeguard the lead we have in terms of quality and service. Sharing expertise and know-how within the Group and leveraging synergies across segments, while focusing fully on the wishes of our customers will be crucial to achieving this goal. ■

Consolidation of Existing Markets, Convergence, Growth

Solid Basis For Profitable Growth

In 2010, the Telekom Austria Group successfully faced up to the challenges presented by its markets such as the impact of strong competitive pressure and restrictive regulatory measures in almost all its mobile communication operations. Against the backdrop of a challenging market environment, the Telekom Austria Group pursues its vision of becoming the most innovative and efficient telecommunications provider in Central and Eastern Europe. In the year under review, important prerequisites for achieving this goal were met:

- ▶ The persistent decline in fixed access lines over recent years was stopped in 2010 and slight growth was recorded against the general market trend.
- ▶ The merger and restructuring of the Austrian operations considerably strengthened the Group's domestic positioning as a provider of convergent products, whilst the foundation for this was laid in Bulgaria with the first-time acquisition of two fixed line operators.
- ▶ The mobile communication markets continued the growth trend of previous years, recording an increase in subscriber numbers of approximately 940,000 to 19.9 million customers.
- ▶ In the year under review, the Group's mobile operations in the Republic of Serbia were able to achieve the EBITDA comparable break-even target according to plan. In the Republic of Macedonia, the Group also registered a substantial improvement in results.
- ▶ At the same time, investments in capacity upgrades and the modernization of the network infrastructure were intensified and operating expenses further optimized.
- ▶ The newly established Telekom Austria Group Business School is playing a crucial role in the group-wide transfer of know-how and knowledge management.

Overview of Strategic Goals

In the years to come the operating markets of the Telekom Austria Group will again be marked by rapid technological change and highly intensive competition. Furthermore, the regulation of roaming and termination tariffs will continue to impact the Group's revenue and earnings development going forward. With a view to safeguarding competitiveness and stabilizing future earnings power, the Telekom Austria Group pursues a corporate strategy that rests upon three main pillars, with operational excellence forming the basis of all strategic activities:

Strategic Goals

- Consolidation of existing markets
- Convergence of the fixed line and mobile communication operations in Austria and in selected foreign markets
- Value-enhancing growth projects within the current regional footprint

Operational Excellence

With a view to improving operational efficiency on an ongoing basis, the Telekom Austria Group analyses all in-house processes and interfaces at regular intervals. The focus is on reducing friction losses and making effective use of financial resources. Close cooperation between all international corporate units ensures significant advantages when introducing new technologies and products. Based on the group-wide implementation of ideas management, employees' expertise and know-how can be leveraged across all operations. The common goal is to develop innovative products and solutions that create clear added value for customers.

Consolidation of Existing Markets

The markets of the Telekom Austria Group are at different stages of development and therefore require a differentiated approach. The main objective is to fully leverage the market potential of each country, while consolidating and expanding the Group's position across all markets.

In the highly developed Austrian market, future growth can be predominantly generated through innovative integrated communications solutions and data traffic. In Croatia, the strategy is aimed at enhancing value generation through innovative and convergent products. Si.mobil in Slovenia is strengthening its position in the SME business segment, while creating the prerequisites for customer uptake of mobile broadband and smartphones by upgrading network capacity. In these markets the Telekom Austria Group benefits from a differentiated pricing structure in line with the corporate multi-brand strategy.

In Bulgaria and Belarus, the base level in terms of both average revenues per customer and data revenues as a proportion of total revenues is considerably lower than in Austria and Croatia. As there is still considerable scope for improvement, the Telekom Austria Group intends to leverage this catch-up potential by pushing ahead with attractive products and services and expanding network capacities. In Bulgaria, the company is also focusing on the gradual development of a convergent product portfolio. In the growth markets of the Republic of Serbia and Macedonia, where the Telekom Austria Group did not start operations until 2007, the main focus is on increasing the share of contract customers to create a solid basis for high-value products.

Convergence of Fixed Line and Mobile Communication

The persistent migration away from fixed line to mobile communication in recent years reflects a radical change in customer usage patterns. The demand for comprehensive and flexible telecommunication solutions, which function independently of location and the underlying transmission technology, is increasingly gathering momentum. By offering convergent product packages, the Telekom Austria Group has been able to successfully respond to this new market trend since 2007. In the CEE markets a comparable industry development is expected to unfold over the medium term.

The Telekom Austria Group will play an active role in shaping this development, while leveraging its existing know-how and innovation power. The acquisition of two fixed line operators in Bulgaria in 2010 represents a first step in this direction. In the other foreign markets, the company seeks to promote a similar development depending on the stage of maturity and specific conditions in the individual markets.

Value-Enhancing Growth Projects

The Telekom Austria Group's core geographic footprint encompasses the emerging markets of Central and Eastern Europe. Potential acquisition targets are only pursued if they increase shareholder value, generate synergy effects with existing business activities or contribute to improving the Group's strategic positioning in the target markets mentioned above. In addition, clearly defined financial criteria and the potential implications for the enhancement of shareholder value must be taken into consideration. Under the terms of the current cash use policy, acquisitions are always benchmarked against share buybacks with respect to cash flow generation per share.

Balanced Cash Use Policy

In December 2010, the Telekom Austria Group presented an update of its cash use policy at its Capital Markets Day. The distribution of a dividend amounting to 55% of free cash flow was deemed a top priority as free cash flow generation better reflects the operational performance of the Telekom Austria Group. Up until now, net income has been used as the basis for calculation. For the years 2011 and 2012, a minimum dividend floor of at least EUR 0.76 per share will apply.

Continued on page 8



Values

In a world of continuous change we work to deliver the best communications solutions that seamlessly integrate into people's lives. As an innovation and quality leader, we are always a step ahead of our competitors, focusing not just on today, but on a future that is truly worth living.

INNOVATION Innovating with You

The Telekom Austria Group is a responsible enabler of progress, not a reckless innovator. We add true value to new developments and make them applicable in everyday life. The Telekom Austria Group connects people with the future of telecommunications, taking on the challenge of building the 21st century's key infrastructure, thus enabling people to truly enjoy the benefits of knowledge-based society, digital education and modern healthcare.

QUALITY Improving with You

Quality at the Telekom Austria Group combines innovation with reliability, stability and safety. We can be trusted to deliver smart, best-in-class products and services. It also means that we are a reliable and stable business partner, delivering profitability to our stakeholders. This is all part of our heritage as a long-standing, experienced and responsible telecoms leader.

DIVERSITY Sharing with You

The Telekom Austria Group is formed by and home to a variety of strong, local brands. In the heart of Central and Eastern Europe, the Telekom Austria Group embraces the diversity of culture, background and heritage and incorporates it into its "DNA" as a valuable resource. Diversity at the Telekom Austria Group plays to the different cultures, skills and know-how that build synergies within our group. It's an open, two-way approach where we learn from each other.

RESPONSIBILITY Caring with You

Responsibility at the Telekom Austria Group means appreciative collaboration with employees, customers and other stakeholders, a strong focus on quality, operational excellence, profitability and sustainable growth, as well as the support of the communities it serves. We are committed to an integrative approach to the economic, ecological and social aspects of sustainable management to create a world that is worth living in for everyone.

Inventing the future with you

Continued from page 7

The company’s leverage corridor was increased from 1.8x–2.0x to 2.0x–2.5x net debt/EBITDA comparable, providing greater flexibility to balance share buybacks against value-enhancing growth investments. In the future, growth projects will continue to be benchmarked against share buybacks in terms of their capacity to generate a higher cash flow per share.

Cash will always be returned to shareholders via share buybacks if leverage falls below 2.0x net debt/EBITDA comparable (2010: 2.0x). A stable business and currency environment remains a prerequisite for share buybacks. A stable investment grade rating of at least “BBB” (stable outlook) is a precondition.

Strict Cost Management

External factors such as regulatory measures and competitive pressure will continue to impact the Telekom Austria Group’s revenue and earnings development. Additional cost optimization and a consistent focus on operational efficiency across all corporate units are therefore essential to strengthen the company’s earnings power and achieve operational excellence.

Along with the creation of group-wide synergies in the area of procurement and product development, the continuation of the integration process in Austria also plays a crucial role. The main goals for the 2011 business year encompass the harmonization of internal processes, the stabilization of personnel expenses and the reduction of overhead administration and operating costs. In a further step, the complexity of IT systems, procurement and accounting processes will be reduced, and market analysis and development more strongly coordinated. As of the 2014 business year, the Telekom Austria Group will seek to realize the full

Interview

Hans Tschuden,
Vice Chairman of the
Management Board,
CFO



“In 2010, the Telekom Austria Group was able to successfully secure its position in a challenging market environment”

Hans Tschuden, Vice Chairman of the Management Board and CFO, in an interview about the revenue and earnings development of the Telekom Austria Group in the 2010 business year.

In 2010, you were able to reach the expected revenue and earnings targets. Are you satisfied with this accomplishment?

In principle yes. With group revenues totaling EUR 4.65 billion and EBITDA comparable amounting to EUR

potential of each individual business unit with a view to making a significant contribution to improving cash flow generation.

High-Performance Network Infrastructure
The increasing relevance of convergent products and the dramatic surge in data traffic require high-performance and reliable transmission networks. Against this backdrop, the Telekom Austria Group is pursuing a demand-oriented and cost-efficient implementation strategy.

Following the introduction of HSPA+ in Austria, Bulgaria and Croatia in 2009, which led to a significant increase in mobile transmission capacities,

1.65 billion at year-end 2010, we were able to achieve our full-year targets. However, this has not been an easy undertaking. Price pressure across all our operating markets not only meant that the entire staff of the Telekom Austria Group was called upon to deliver outstanding performance on a daily basis, intrusive regulatory measures to reduce roaming tariffs and interconnection fees also had a significant impact on the revenue and earnings development of the Group.

Can you please explain these effects in a little more detail?

Since the First EU Roaming Regulation came into force back in 2007, price caps on both outgoing and incoming calls have been gradually decreased by approximately 20% and 40% respectively. The same applies to interconnection charges, resulting in a total negative impact on EBITDA comparable of approximately EUR 47 million in the year under review. And further reductions are expected in the years to come. Given these circumstances, the revenue and earnings performance of the Group in 2010 can be deemed satisfactory.

Why did you change the Telekom Austria Group’s cash use policy?

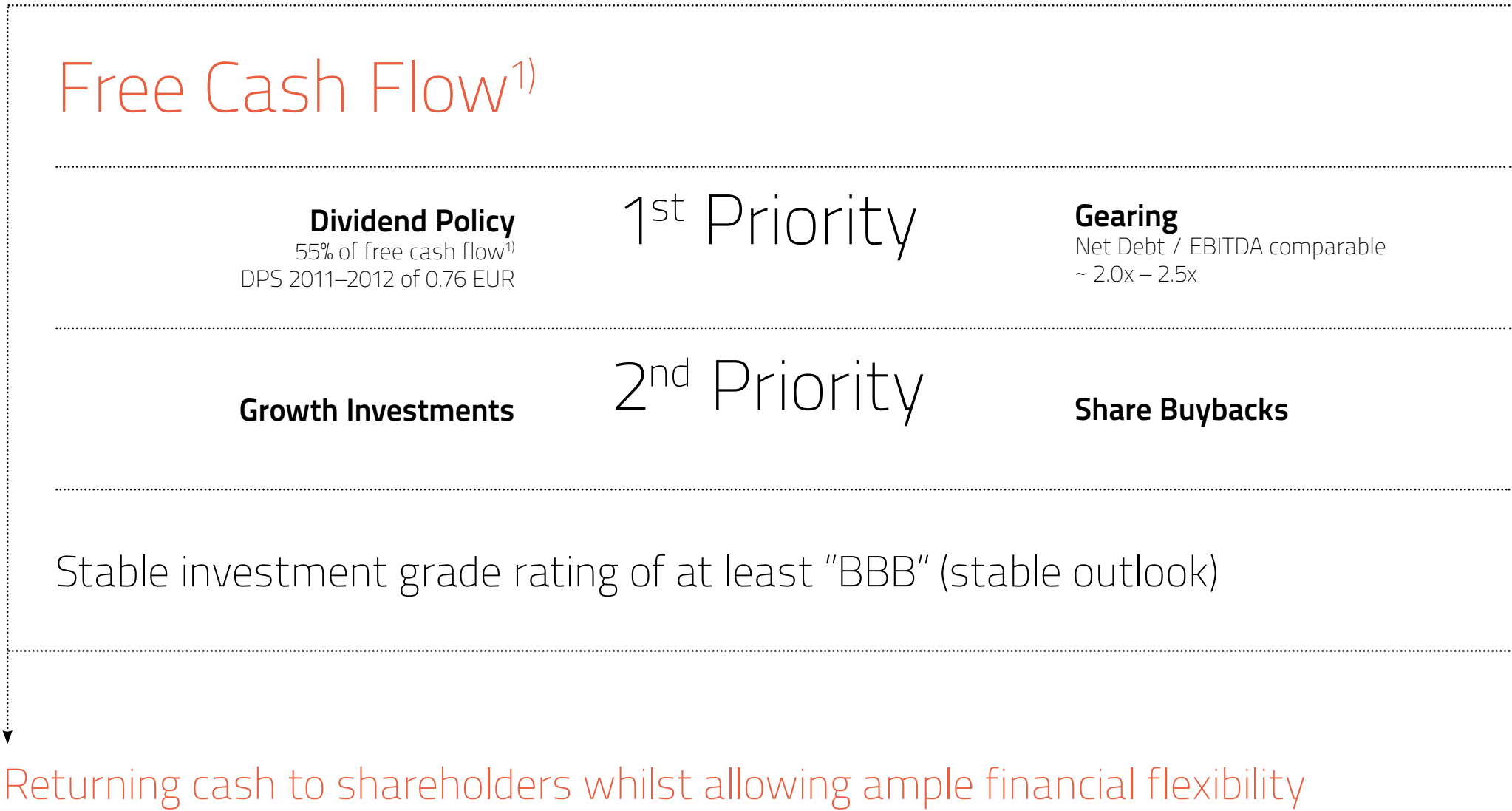
At our last Capital Markets Day in December 2010,

we updated our cash use policy, but have not fundamentally changed it. The main focus remains on providing our shareholders with a balanced and reliable remuneration. However, the basis of calculation will no longer be net income but free cash flow, as it better reflects the operating performance of the Telekom Austria Group. We intend to distribute 55% of free cash flow as dividends and carry forward the remaining amount. The minimum dividend floor for the years 2011 and 2012 is set at EUR 0.76.

Will you pursue any growth projects within the framework of this strategy?

Investments in growth projects will be required to generate a higher cash flow per share than share buybacks in accordance with our corporate strategy. Besides, we have to keep our net debt development in line with clear financial guidelines. However, we definitely want to continue along the Telekom Austria Group’s growth path in future: potential expansion steps will be considered very carefully and benchmarked against the parameters mentioned above. A stable investment grade rating of at least “BBB” (stable) remains a basic prerequisite in this context.

Balanced Cash Use Policy



¹⁾ Free cash flow = cash flow generated from operations after capital expenditures in existing business areas.

Clear Added Value for the Customer

The vision of the Telekom Austria Group is to become the most efficient and innovative telecommunication operator in Central and Eastern Europe. The company, therefore, attaches great importance to research and development.

Market-Oriented and Customer-Focused Product Development

The Telekom Austria Group's innovation strategy is centered upon the development of new technologies and attractive applications that create added value for the customer and safeguard the company's competitiveness. Ongoing upgrades to the product portfolio, however, place increased demands on transmission networks. Thus, further expansion and technological renewal of the network infrastructure are basic prerequisites for the realization of such innovative applications.

In terms of innovation management, the Telekom Austria Group follows a holistic approach, which encompasses idea generation, prototype development, implementation and time-efficient marketing. Cross-border synergies are reaped by leveraging coordinated corporate processes, group-wide transfer of know-how, as well as tried and tested best-practice solutions.

In 2010, the Telekom Austria Group invested a total of EUR 38.4 million in research and development (2009: EUR 40.3 million).

The convergence of mobile and fixed line technologies is directly affecting all stages of the value creation process. With the merger of the domestic fixed line and mobile communication activities into a new company under the brand name A1 Telekom Austria, the Group will also be able to respond to this global trend within the framework of its R&D activities, making the development of integrated communication solutions and convergent products even more efficient going forward.

A good example of this is the innovative solution "A1 Network Professional", which received the internationally renowned Global Telecoms Business Innovation Award in 2010. This service offers small and medium enterprises a comprehensive solution based on the full integration of mobile and fixed line communication, PC telephony and fax connections, thus guaranteeing location-independent availability. Furthermore, this integrated solution makes sophisticated PABX (Private Automatic Branch Exchange) systems and the management of multiple voice mail accounts obsolete.

In-house Development Expertise and External Cooperation

The highly dynamic nature of information and communications technologies necessitates well-founded and very often basic research work. For many years, the Telekom Austria Group has therefore maintained a dense network of partnerships with renowned universities and research institutions. At the University of Vienna, for instance, the company has endowed a chair at the Institute for Future Communications, which focuses on the question how high-performance communication systems can be best organized. The company also collaborates with the Vienna University of Technology and more specifically with the Christian Doppler Laboratory and the Working Group

for Mobile Communication and Broadband Communication. The expertise derived from these external projects is combined with the Group's in-house know-how in terms of market expectations and product design, guaranteeing market-oriented, time-effective and customer-focused product development.

The Telekom Austria Group's long-standing partnership with Vodafone has also generated considerable benefits over the years, enabling the company to participate in global mobile communication development projects.

Successful Initiatives Fostering The Exchange of Thoughts and Ideas

The Telekom Austria Group's ideas contest "Innovation Challenge", which gives staff members the opportunity to contribute their own ideas and visions, provides significant impulses. At last year's contest, a total of 360 suggestions were submitted. An expert jury selected the best ideas, which were later implemented.

The "A1 Innovation Days" continued to contribute to the generation of new ideas and applications in the mobile communication field in 2010 and once again received widespread international recognition as an important discussion and presentation platform. In 2010, the main focus was on applications with local relevance that provided concrete customer convenience. Around 78 applications were submitted prior to the event. The best ideas were selected by a jury and awarded a prize. Via the portal www.a1-innovations.at both users and developers can constantly exchange information and keep abreast of the latest developments. Mobiltel, Velcom and Vip mobile also support ideas contests for the development of new mobile applications.

Since 2001, the Telekom Austria Group has organized the discussion forum future.talk, which brings together outstanding personalities from the worlds of the economy, technology and science and gives them an opportunity to engage in open dialogue to develop new ideas and visions. At the 2010 future.talk, Apple-cofounder Steve Wozniak and the futurist Ray Kurzweil discussed the relationship between man and machine. The event, entitled "Machine. From Mankind to Machine?", offered an opportunity to debate the interface between man and technology.

Rapid Giganet Rollout

In November 2009, A1 Telekom Austria launched a large-scale modernization program of its fixed line infrastructure. In addition to further upgrading its switching centers on the basis of VDSL technology (FTTEx – Fiber To The Exchange), four fiber-optic pilot projects were initiated in Villach, Klagenfurt and in the 15th and 19th districts of Vienna.

By year-end 2010, approximately 1.75 million Austrian households and businesses had been provided with high-speed Internet access reaching transmission rates of up to 30 Mbit/s. In the

Vienna test regions transmission speeds are expected to reach up to 100 Mbit/s as of spring 2011.

Based on this increase in network capacity, the company launched a new product bundle, aon-PowerKombi, in autumn 2010, which offers unlimited Internet access with transmission speeds of up to 30 Mbit/s aonTV and mobile Internet. Moreover, the enhanced transmission rates have contributed to changing customer demand and usage patterns in the aforementioned test regions. While the number of aonTV subscribers throughout Austria increased by 49.4% in the year under review, the comparative values in the test markets of Klagenfurt and Villach were almost twice as high.

Next Generation Mobile Broadband

The dramatic surge in mobile data traffic requires high-performance transmission networks and innovative mobile technologies. Over the past five years, data volumes within the domestic mobile network of the Telekom Austria Group have recorded a 250-fold increase. To guarantee adequate transmission capacities at all times based on the highest quality standards, the Telekom Austria Group continues to invest in its network infrastructure. In 2010, the company played a pioneering role by introducing HSPA+ (High Speed Packet Access Plus) in Austria, Bulgaria and Croatia. Following an in-depth evaluation of general conditions, four paired and five unpaired frequency blocks with a bandwidth of 5 MHz each were acquired for the Austrian market at a 2.6 GHz frequency auction in September 2010. These frequency blocks provided the basis for the introduction of the Long Term Evolution Technology (LTE). With the commercial launch in November 2010, A1 Telekom Austria became the first mobile operator in Austria to provide this technology in selected urban areas. LTE allows for data transmission speeds of up to 150 Mbit/s. As a preliminary stage of the 4th mobile generation LTE opens up an entirely new dimension for mobile data services.

In the year under review, considerable capacity upgrades were achieved in the domestic UMTS

network. With the introduction of the Dual Cell technology based on HSPA+, base station transmission capacities were doubled to up to 42 Mbit/s. The connection of base stations to the high-performance fiber-optic network of the Telekom Austria Group is a prerequisite for these capacity enhancements. At year-end 2010, a total of 1,000 base stations were connected, with an additional 3,000 base stations due to follow by 2013.

Smartphones and Applications

A1 Telekom Austria not only offers the most comprehensive portfolio of smartphones but, in the year under review, was able to develop numerous applications to further extend their functionalities. The most popular smartphone applications include A1 Handy Parken, A1 Music, A1 Gutscheine Box, A1 Wisepilot as well as A1 TV Player. With a view to facilitating access to applications of all kinds, A1 Telekom Austria actively supports an initiative of the GSM Association. As a founding member of the Wholesale Application Community (WAC), which released the WAC 1.0 specification in October 2010, the company is collaborating in efforts to develop uniform industry standards.

Outstanding Network Quality

In 2010, A1 Telekom Austria again beat other mobile providers in the German-speaking countries and emerged as the winner of the network tests carried out by the trade magazine "connect", gaining top scores for mobile network quality. The Institute of Broadband Communications of the Vienna University of Technology came to the same conclusion, confirming that A1 Telekom Austria has the best network quality in the country, with the highest up and download speeds in both rural and urban areas. A1 Telekom Austria also achieved a top ranking in a test of mobile broadband offerings of Austrian operators conducted by the Association for Consumer Information. The Telekom Austria Group's foreign subsidiaries regularly receive awards for the quality of their networks. In 2010, for instance, Vipnet was once again confirmed as the Croatian provider with the best network quality for both voice and data services. ■

Commentary

Johann Pichler
Group Chief
Technology Officer



"Smart Application of New Technologies"

The telecommunication industry is undergoing rapid technological change. At the same time, the dramatic surge in data traffic is placing increased demands on technical infrastructure. Over the past three years alone, the data volumes carried over the Telekom Austria Group's network have almost

tripled. To respond to these unprecedented challenges in a time and cost-efficient manner, the Group is focusing on the smart combination of its fixed line and mobile communication infrastructure.

While capacity upgrades in the fixed line network are less cost-intensive, the rollout of the mobile communication network is less time-consuming. A hybrid combination of these network architectures will therefore enable the company to reap the benefits of both worlds and fully leverage the different technological possibilities for upgrading the company's current network infrastructure. ■

Financially Successful, Socially Committed, Active in Environmental and Climate Protection

The prime strategic objective of the Telekom Austria Group is to achieve a steady and sustainable increase in shareholder value. Giving equal consideration to the interests of all stakeholder groups is just as important as an even balance between economic, ecological and social goals.

The Telekom Austria Group fulfils its corporate social responsibility in a wide variety of ways by actively contributing to environmental and climate protection, and by supporting social projects and initiatives. The projects initiated throughout the Group, make an important contribution to safeguarding long-term business success, which is based upon strong earnings power and financial stability.

The Telekom Austria Group operates in eight countries in Central and Eastern Europe and regards the cultural diversity and traditions of these markets as an enrichment for an open corporate culture that enables the cross-border sharing of experiences and the creation of group-wide synergies. The corporate values Innovation, Quality, Diversity and Responsibility presented in the 2010 business year reflect this position (see page 7).

Group-Wide CSR Management

In 2010, a new CSR management system was implemented with the aim of entrenching all aspects of sustainability more firmly within all corporate units. This organization is headed by Hannes Ametsreiter, the CEO of the Telekom Austria Group, underlining the great importance the company attaches to CSR. The CSR Board is made up of first-level managers, who are responsible for

the strategic development of the sustainability process and for adopting an annual CSR program. The CSR Board is supported by a CSR core team, which defines key areas and develops the annual program.

The newly created CSR department is responsible for the continuous development of CSR structures and processes, defines the strategic focus and acts as the interface to the Telekom Austria Group's operating companies. Country-specific activities are initiated by the local subsidiaries taking into account regional needs.

Award-Winning Sustainability Report

The Telekom Austria Group has for many years documented its progress towards sustainability in a detailed annual sustainability report. This report follows the Reporting Guidelines G3 of the Global Reporting Initiative (GRI) including the industry-specific Telecommunication Supplements.

The company's own assessment of the extent to which it has achieved compliance with the G3 Guidelines of GRI (Application Level) has been externally audited and classified as Level B+. The latest report won the renowned Austrian Sustainability Award (ASRA) 2010 in the special category Original Reporting Format for its creative idea and the high quality of its content. It can be downloaded or requested in hard copy at <http://sr2009-10.telekomaustria.com>. The main theme of this report on the company's social and ecological performance and sustainability initiatives was "Diversity," one of the newly defined values of the Telekom Austria Group. The value of the cultural diversity in the eight countries, in which the Telekom Austria Group

operates, was reflected in the creative concept of a cookery book called Recipes for Sustainability featuring local dishes chosen by the employees of the Group's local subsidiaries.

An overview of some of key sustainability activities and measures is provided below.

Strong Sense of Social Responsibility

As a leading provider of innovative telecommunications solutions, the Telekom Austria Group is strongly aware of the responsibility it has towards society and, therefore, promotes the responsible and competent use of digital media. In Austria, the company has, for instance, supported the ROUNDABOUT KIDS discussion series since 2003 and the platforms Saferinternet.at and Handywissen since 2006. In Bulgaria, Mobitel champions the safe use of the Internet: In 2010, the company supported the EU-wide campaign "Think before you upload" to raise awareness among young people of the need to exercise caution when using the Internet. As one of the co-founders of the Seniorkom.at initiative, A1 Telekom Austria has enabled senior citizens to actively participate in the modern digital knowledge society by providing free Internet training courses. These are carried out by apprentices of A1 Telekom Austria.

In 2010, the Telekom Austria Group together with the Austrian Academy of Sciences and Medienhaus Wien, initiated a series of social science lectures that examines developments in information and communications technologies and their importance for the knowledge society from a variety of perspectives. Discussions at these public Hedy-Lamarr lectures focus on the potential social consequences arising from changes in the transfer of knowledge.

The Telekom Austria Group also has long-standing partnerships with a number of charitable organizations. Projects are chosen by the local operating companies taking into account the particular needs on the ground.

Active Environmental and Climate Protection

The Telekom Austria Group has put in place a large number of measures that make a valuable contribution to improving environmental and climate protection. Within the company's own sphere of action, the main emphasis is upon reducing the consumption of resources and energy, and upon lowering CO₂ emissions.

By making greater use of renewable energies and achieving sweeping improvements in energy efficiency, the Group successfully reduced the level of CO₂ emissions produced by power consumption by more than one third between 2008 and 2009.

A project to reduce energy consumption and CO₂ emissions at base stations by intelligently adapting network capacity to network utilization levels was successfully implemented in the year under review.

As well as successively replacing its vehicle fleet with low-emission vehicles, the Telekom Austria Group also relies on technological solutions to reduce mobility-related emissions. These include the use of teleworking and state-of-the-art video-conferencing solutions that make it possible to eliminate approximately 25% of all one-day business trips. Information campaigns have been started in Austria, Slovenia and in the Republic of Serbia to encourage employees to save energy and promote environmentally-friendly behavior. A car-sharing scheme was launched in Bulgaria at the initiative of employees and measures to optimize the separation of waste were implemented. Several local environmental management systems have already been certified according to ISO 14011. The Telekom Austria Group also makes important contributions to power supply in the area of environmentally-friendly electromobility: Telephone booths throughout Austria have been converted into e-charging stations and approximately 30 charging stations are already available for drivers who need to tank up power. ■

The Telekom Austria Share – A Sustainable Investment

- The Telekom Austria Share has been
- listed since 2001 in the FTSE4Good Index which recommends companies with a strong sense of corporate responsibility
 - listed since 2005 in VÖNIX, the first Austrian sustainability index;
 - included in the list of sustainable investment products recommended by the Munich rating agency oekom research AG since 2002 and
 - positively evaluated by imug investment research since 2001.



The importance of cultural diversity in the eight CEE countries, in which the Telekom Austria Group operates, was illustrated by a cook book with "Recipes for Sustainability" based on typical local dishes suggested and chosen by staff members from the various regions.



Know-How Transfer and International Corporate Culture

The Telekom Austria Group is successfully positioned as the innovation and technology leader on its eight operating markets. The use of state-of-the-art instruments for human resources development and training are central to safeguarding the required expertise.

EUR 12.4 Million for Further Education and Professional Training

The further education and training activities offered by the Telekom Austria Group are updated each year and are geared to the particular requirements of the individual markets and business departments. Programs not only focus on developing and teaching specialist knowledge, but also on promoting an international corporate culture. In the 2010 business year, EUR 12.4 million or an average of EUR 754 per employee was spent on further education and training measures (2009: EUR 685).

In 2010, the Telekom Austria Group Business School was set up as a centralized in-house training and educational establishment to optimize the development and transfer of know-how throughout the Group and promote a common corporate culture. Further education programs are tailor-

ed to the needs of the Telekom Austria Group's employees and seek to foster talent, leadership skills and high potentials. The various company departments are actively involved both in designing the curricula and in holding the courses. In addition, the international operating companies of the Telekom Austria Group also organize their own training programs geared to their local requirements.

Group companies regularly receive renowned awards in recognition of these efforts. In 2010, the Croatian subsidiary Vipnet, for example, was once again nominated as one of the best employers in the country. In Bulgaria, Mobiltel received an award for its outstanding role as an Investor in Human Capital and also won a special prize in the competition for the best employer. The Slovenian subsidiary Si.mobil was named best employer by the Golden Thread project. A1 Telekom Austria was awarded the Career's Best Recruiter Certificate as the best company in the telecommunication industry for its quick response to applications, service-oriented web presence and the use of wide-ranging recruitment channels. These external awards not only enhance the company's reputation as an attractive employer, the employee surveys they involve

also deliver valuable information that can be used to make further improvements.

Tomorrow's Experts

To meet its own future demand for skilled workers, but also out of a sense of social responsibility, A1 Telekom Austria offers young people sound professional training in a wide range of apprentice training schemes. In the year under review, 287 apprentices, 30% of whom were women, were employed as trainees at A1 Telekom Austria. Besides a practice-oriented curriculum, the schemes also offers apprentices the opportunity to gain additional qualifications such as the vocational matriculation exam (which entitles them to a university place) or ICT Academy Certification, a qualification recognized throughout the industry as proof of expertise.

In the year under review, Vip mobile continued its successful program "Be a Vip student", which supports talented students in Serbia while at the same time informing them about the attractive career opportunities at the company.

Motivation and Performance-Oriented Work Ethic

The Telekom Austria Group uses a variety of in-

struments to promote a performance-oriented work ethic and an entrepreneurial attitude among its employees. The performance dialogue, for example, ensures a structured discussion between managers and employees regarding expectations, career opportunities and incentives. The various company departments have implemented this dialogue in differing forms, but it is mandatory and takes place at regular intervals.

In the year under review, the Stock Option Program ESOP introduced in 2004 was replaced by a Long Term Incentive Program (LTI) for executives and selected employees. Unlike the previous scheme, LTI is not based on options but on the allocation of shares contingent upon the achievement of specific targets. At the end of the incentive scheme period, the targets defined for the key figures free cash flow, EBITDA and total shareholder return must have been met. Participants in the program must also be able to show that they have held an investment in Telekom Austria shares for a three-year period. Detailed information about the LTI can be found on page 16 of the Corporate Governance Report.

Continued on page 12





Commentary



Silvia Buchinger
Group Chief Human
Resources Officer

“Diversity is Enriching”

The Telekom Austria Group has more than 16,500 employees across 8 CEE countries. We regard cultural diversity as a source of enrichment and an opportunity to learn from one other.

The establishment of the Telekom Austria Group Business School in 2010 will further optimize the group-wide transfer of know-how, while at the same time fostering a common corporate culture based upon the four core values of the Telekom Austria Group - Quality, Innovation, Diversity and Responsibility. These core values are also reflected in the Group's professional and performance-oriented personnel policy. Fostering talent is of central importance as are the leadership skills of our managers, the commitment of our employees and an attractive and challenging working environment.

Continued from page 11

Integration in Austria

The legal merger of Telekom Austria TA AG and mobilkom austria AG into A1 Telekom Austria AG in July 2010 led to a number of personnel changes and organizational challenges also in the human resources area. Effectively harnessing the resulting synergies not only involves optimizing work-flows and processes, but also developing a shared understanding of corporate goals and values.

Transparent and up-to-the-minute communication under the motto “One Team – One Dream” smoothed the integration process. An innovative communication platform named oneteam.at was created and employees were actively involved in the change process through a number of workshops. Specially trained “Change Ambassadors” supported the integration process and served as a link between employees and management.

Online surveys were also introduced to measure progress and identify other potential approaches. The resulting feedback provided valuable information for shaping the further integration process. A third survey is planned for March 2011.

The organizational restructuring that went hand in hand with the integration process also made it necessary to fill or refill a number of management positions. In the period up to April 2010, some 135 second level management positions were filled and before the end of May approximately 340 third level positions.

Equal Opportunities and Diversity Management
Female employees at the Telekom Austria Group are treated equally with their male colleagues. A standard remuneration framework is ensured by clear descriptions of positions and of the abilities and skills they require. Women accounted for 35.7% of total employees at the Telekom Austria Group in 2010 (2009: 36.4%), and 32% of total managerial positions (2009: 20%). In addition to the two female members of the Supervisory Board of Telekom Austria AG, fifteen other women had a Supervisory Board mandate and seven additional women held a position on the Management Board or as managing directors of the subsidiaries in the year under review.

In Austria, the Telekom Austria Group also employs members of staff who have special needs. Disability liaison officers have been appointed to deal with their particular concerns and ensure that workplaces are adapted for disabled workers. Since 2009, the company has intensified its cooperation with the Social Welfare Office and the Institute for Vocation Integration.

Family and Career Management
Flexible working time models and teleworking make it easier for A1 Telekom Austria employees to balance their family and work lives and support programs are in place to ease the return to work of employees who have been on parental leave. In 2010, a total of 233 employees, including 18 men, were on parental leave. The various subsidiaries also implement measures of their own; thus, Vipnet in Croatia and Mobiltel in Bulgaria run or support their own kindergartens to help working parents and in 2010 Vip mobile became the first

company in Serbia to open a company nursery. In Austria, “flying nannies” look after employees’ children on school-free days.

Comprehensive Healthcare
The Telekom Austria Group has implemented a host of measures to promote the health of its employees and optimize health and safety at the workplace. Medical care at the workplace is provided by company doctors and first aid courses and vaccination programs take place on a regular basis. The Telekom Austria Group's subsidiaries organize their own sporting and healthcare activities as well as information campaigns based on their own local requirements and circumstances.

The latest protective equipment is provided to ensure occupational safety, training courses and practical instruction are regularly organized to raise employee awareness of the potential dangers of their workplaces.

Voluntary Benefits
The social benefits offered by the company are based on regional requirements and are aimed above all at providing a safety net for employees in times of personal need or crisis. In consulta-

tion with employee representative bodies, EUR 600,000 were earmarked for this purpose in the year under review. Assistance was provided, for example, in cases of serious illness or after industrial accidents or disasters such as flood, fire and storm. Moreover, the individual operating companies offer different voluntary social benefits or favorable telephone tariffs. Members of the Austrian workforce with permanent employment contracts are also covered by a company pension plan, to which the company contributes 5% of their basic salaries.

Workforce Structure and Productivity
At year-end 2010, the Telekom Austria Group had 16,501 employees, a decline of 0.4% compared to the previous year. While in the Austrian segment total headcount decreased by 382 employees, the international operating companies registered an increase of 1.8% to 6,634. As of December 31, 2010, 57% of the workforce in Austria had civil servant status. Revenues per employee declined by 2.0% to EUR 280,515 in the year under review.

In 2009, an agreement was signed with the Austrian government allowing up to 500 employees, whose civil service contracts could not be terminated, to voluntarily transfer to the police force where they will carry out administrative duties. Since 2010, they have also been offered the option of moving to the Ministry of Justice or the Ministry of Finance. By year-end 2010, 158 employees had taken this opportunity to change career.

Key Personnel Figures

	2010	2009	Change in %
Full-time employees at year end	16,501	16,573	–0.4
in Austria	9,717	10,045	–3.3
international	6,634	6,519	1.8

Productivity Figures

Revenues per employee in EUR	280,515	286,106	–2.0
EBITDA comparable per employee in EUR	99,272	107,936	–8.0

Stable Shareholder Structure, Clear Dividend Policy

Telekom Austria AG shares have been listed on the Vienna Stock Exchange since November 2000. With a weighting of 9.5% in the leading index ATX and a market capitalization of approximately EUR 4.7 billion at year-end 2010, the company is one of the heavyweights on the Vienna trading floor.

Shareholder Structure

Following the retirement of 17 million treasury shares in 2009, the number of shares issued at year-end 2010 totaled 443 million, 28.42% of which were held by the ÖIAG, 71.48% were in free float and 0.10% or 436,031 were held by Telekom Austria AG itself.

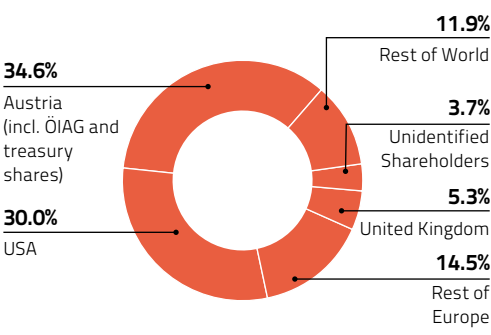
Telekom Austria Stock Data

Stock Number	72000
Symbol	TKA
ISIN	AT0000720008
Reuters	TELA.VI
Bloomberg	TKA AV
Traded on	Vienna Stock Exchange

On January 20, 2010 Capital Research & Management, California, announced that it had increased its stake to 15.13%. As the managers of the individual funds controlled by this company make their investment decisions independently of one another, these shares are regarded as free float. There were no further changes in 2010, which would have been subject to disclosure under the terms of the Austrian Stock Exchange Act.

The shareholder analysis carried out by Telekom Austria AG as of December 31, 2010 identified 96.3% of the shares. Approximately 34.6% of all shares are held by Austrian shareholders (including ÖIAG), approximately 5.3% by investors in the United Kingdom and 30.0% by US investors. Most of the remaining stock is held in other European countries. The Telekom Austria Group employees hold approximately 0.4% of the shares.

Shareholder Structure by Country as of Dec. 31, 2010



Dependable Dividend Policy

At its Capital Markets Day on December 17, 2010 the Telekom Austria Group presented an update of its cash use policy: shareholder remuneration will no longer be based on net income, but on free cash flow as this better reflects the company's operational performance. Free cash flow is defined as cash flow after interest and taxes, less changes in net working capital and capital expenditures of the existing business.

The Group intends to distribute 55% of free cash flow as dividend. For the years 2011 and 2012 a dividend floor of EUR 0.76 per share will apply. The dividend floor for 2010 remains unchanged at EUR 0.75 per share. The company's leverage corridor was increased from 1.8x–2.0x to 2.0x–2.5x net debt/EBITDA comparable, providing greater flexibility to balance share buybacks against value-enhancing growth investments. Cash will always be returned to shareholders via share buybacks if leverage falls below 2.0x net debt/EBITDA comparable. A stable business and currency environment remains a prerequisite for share buybacks.

The Management Board will propose a dividend of EUR 0.75 per eligible share for the business year 2010 at the Annual General Meeting to be held on May 19, 2011. Based on a share price of EUR 10.52 at year-end 2010, this represents a dividend yield of approximately 7.1%.

Annual General Meeting 2010

The tenth Annual General Meeting of Telekom Austria AG was held on May 27, 2010 at the Wiener Stadthalle. It was attended by 316 shareholders representing 65% of the share capital. The main resolutions are listed below.

- Discharge of the members of the Management Board and the Supervisory Board
- Election of the auditors of the financial statements and of the consolidated financial statements for the 2010 fiscal year
- Several amendments to the Articles of Association in accordance with the Stock Corporation Amendment Act
- Election of Wolfgang Ruttensdorfer to the Supervisory Board
- A resolution concerning the distribution of a dividend of EUR 0.75 per eligible share for the 2009 financial year

All resolutions and additional information about the Annual General Meeting can be viewed on the corporate website at telekomaustria.com under the menu item Investor Relations.

Intensive Dialogue with Investors

The Investor Relations team of the Telekom Austria Group provides transparent and real-time information about current corporate developments to shareholders and other interested parties simultaneously. At 13 (2009: 16) road shows and 12 (2009: 16) international investor and telecommunication conferences in 2010, the Telekom Austria Group actively sought dialogue with analysts, private and institutional investors. Some 207 one-on-one meetings (2009: 399), 52 group presentations (2009: 64) and 164 telephone conferences (2009: 173) were held.

At a Capital Markets Day held in Vienna in December 2010 top management provided information about the Telekom Austria Group's operational development, corporate strategy and future development to some 60 analysts and investors. Detailed information is available at telekomaustria.com/ir/capital-market-day.php

In 2010, 24 financial institutions carried out analyses of the Telekom Austria share. A list of these analyses, including updates and the contact details of the responsible authors is available at telekomaustria.com/ir/analysen.php

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Recovery of the International Capital Markets

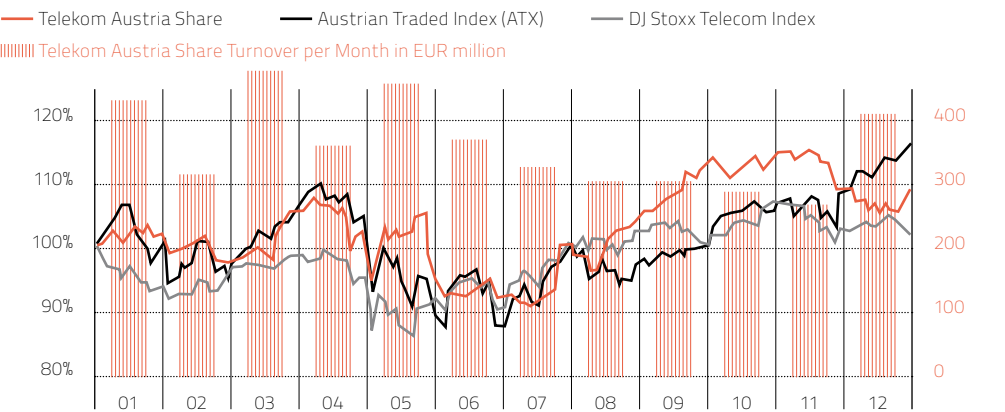
After two challenging years characterized by volatility and uncertainty, a stabilization of international capital markets was observed in 2010. The ATX, the leading index on the Vienna Stock Exchange, recorded a plus of 14.5% on a year-on-year basis while the German DAX increased by 14.2%.

After a volatile development in the first six months of the year, the Telekom Austria share reached an annual low of EUR 8.90 in mid July before gaining momentum as the year progressed to end 2010 at EUR 10.52. With a gain of 7.1% for the 2010 financial year, the Telekom Austria share clearly outperformed the industry index DJ Stoxx Telecom, which rose by 2.3% in the year under review. With a weighting of 9.5% the Telekom Austria share ranked fourth on the ATX at year-end 2010. Market capitalization rose from EUR 4.4 billion to EUR 4.7 billion. Turnover from trading (double count without over-the-counter trading) decreased from EUR 5.9 billion to EUR 4.4 billion. Turnover from over-the-counter-trading (double count) fell by 35.9% to EUR 219.9 million in the year under review. A total of 75,712 option contracts with a value of EUR 74.1 million and Telekom Austria as the underlying instrument, were traded on the Austrian Futures and Options Exchange (ÖTOB).

Solid Financing Basis

The debt financing of the Telekom Austria Group is based on a stable and well diversified portfolio. One of the main components of this portfolio are bonds, which have been issued since 2003 and represent a reliable alternative to loan financing. In the year under review, a EUR 500 million bond issued in 2005 was repaid. At year-end 2010, three bonds with a total volume of EUR 2 billion, which had been issued in 2003, 2005 and 2009 respective-

Development of Telekom Austria Share Price in 2010



Key Figures Telekom Austria Share

	2010	2009	2008
Share price low in EUR	8.9	9.23	8.10
Share price high in EUR	11.4	12.87	19.50
Share price as of Dec. 31 in EUR	10.52	9.95	10.30
P-E ratio as of Dec. 31	23.9	45.2	–
Income/loss per share in EUR	0.44	0.22	–0.11
Free cash flow per share in EUR	1.43	1.52	1.71
Market capitalization in EUR billion	4.7	4.4	4.7
Average stock exchange turnover/day in EUR million	17.5	23.8	44.5
Number of shares of common stock	443,000,000	443,000,000	460,000,000
Number of outstanding shares as of Dec. 31	442,563,969	442,563,969	442,398,222
Share capital in EUR	966,183,000	966,183,000	1,003,260,000
Weighting ATX in %	9.5	9.1	15
Weighting DJ Stoxx Telecom in %	1.8	1.6	1.2

Financial Calendar

February 23, 2011	Results for the Financial Year 2010
May 11, 2011	Results for the First Quarter 2011
May 19, 2011	Annual General Meeting
May 23, 2011	Ex-Dividend Day
May 26, 2011	Dividend Payment Date
August 17, 2011	Results for the First Half 2011
November 14, 2011	Results for the First Nine Months 2011

ly, were still outstanding and due for repayment by 2017 at the latest.

On December 31, 2010 the Group also had access to unused committed lines of credit with a total volume of EUR 1 billion and an average maturity of approximately 2 years made available by some 20 banks. The financing and liquidity situation of the Telekom Austria Group can therefore on the whole be regarded balanced and stable.

External Ratings

Telekom Austria AG has been subject to regular evaluations by Moody's Investor Service and Standard & Poor's ever since it issued its first bond in 2003. Moody's kept its long-term rating of "A3" (stable outlook) for the 2010 financial year. Standard & Poor's downgraded its long-term rating from "BBB+" negative watch to "BBB" stable. The short-term rating of "A2" was confirmed. On February 14, 2011 Moody's revised its outlook from "stable" to "negative". ■

Rating and Outlook	Moody's	S&P
Rating	A3	BBB
Outlook	negative	stable

Corporate Governance Report for 2010



Responsible Company Management and Control

To ensure sustainable, value-enhancing corporate development, the Telekom Austria Group adheres to strict principles and is committed to transparency and a policy of open communication. The Group-wide areas of competency and responsibility are clearly regulated by law, the Articles of Association of Telekom Austria AG and the Rules of Internal Procedure for the Management Board and the Supervisory Board.

The Management Board defines the strategic focus of the Group in consultation with the Supervisory Board and provides the latter with regular reports on the company's current situation, including risks. Furthermore, the Supervisory Board is authorized to ask the Management Board at any time to report on matters concerning the Telekom Austria Group. The Rules of Internal Procedure for the Supervisory Board, the Audit Committee and the Management Board provide the legal framework for the duties and scope of action of both the Supervisory and Management Boards.

In the course of the restructuring of the Telekom Austria Group in 2010, the strategic holding company was expanded to become a management holding company. Since then, the Management Board of Telekom Austria AG has been supported by four Group Chief Officers for Human Resources, Technical, Marketing and Finances.

Austrian Corporate Governance Code

Telekom Austria AG shares have been listed on the Vienna Stock Exchange since November 2000, where the Austrian Corporate Governance Code enjoys general acceptance. The Code as currently amended can be viewed at corporate-governance.at or on the website at telekomaustria.com.

The Telekom Austria Group committed itself to voluntary compliance with the Code as of 2003. The Group complies with all the legal requirements laid down in the so-called "L Rules". As potential deviations from the "C Rules" of the Code must be explained, the Telekom Austria Group made the following statements with regard to Rules 28 and 28a of the Code as amended in January 2010:

Stock option plans and programs for the beneficial transfer of shares, including the stipulated long-term exercise hurdles, are decided by the Supervisory Board in order to ensure that they are in line with the business plan. The basis and mode of operation of the previous stock option program ESOP were presented to the Annual General Meetings on June 4, 2003 and May 23, 2006 respectively. At the Annual General Meeting on May 27, 2010 a Long Term Incentive Program was introduced, which as of the financial year 2010 will replace the previous stock option program ESOP.

In accordance with Rule 62 of the Austrian Corporate Governance Code, the Telekom Austria Group's compliance with the provisions of the Code and the correctness of reporting are externally evaluated on a three-year basis. The most recent evaluation, which was carried out by KPMG in early 2011, discovered no facts that conflicted with the declaration made by the Management Board and the Supervisory Board regarding observance and compliance with the "C" and "R" Rules of the Austrian Corporate Governance Code for the 2010 business year.

Members of the Management Board

In 2010, the Management Board of Telekom Austria AG comprised Hannes Ametsreiter, the Chairman of the Management Board, and Hans Tschuden, the Vice Chairman of the Management Board and Chief Financial Officer.

Hannes Ametsreiter

CEO since January 1, 2009, Chairman of the Management Board of Telekom Austria AG since April 1, 2009, appointed until December 31, 2013

Hannes Ametsreiter was born in 1967. He studied journalism and communication together with sport science in Salzburg. After completing his doctorate, he continued his education with an MBA at Pepperdine University in the USA. He began his professional career as a brand manager with Procter & Gamble, before joining product management at mobilkom austria in 1996. In 2001, he was appointed Chief Marketing Officer of mobilkom austria and in 2002 also became responsible for the company's customer service. From 2005 to 2006 he held the position of CMO of Mobiltel in Bulgaria. On July 1, 2007 Hannes Ametsreiter was appointed Chief Marketing Officer of Telekom Austria TA AG. On January 1, 2009 he also became a member of the Management Board of the Telekom Austria Group with responsibility for the Fixed Net segment and was appointed CEO of Telekom Austria TA AG. Since April 1, 2009 Hannes Ametsreiter has served as Chairman of the Management Board of Telekom Austria AG. He is also the CEO of A1 Telekom Austria AG, which was created following the merger of mobilkom austria AG and Telekom Austria TA AG, and registered in the Commercial Register on July 8, 2010.

Outside the Group, Hannes Ametsreiter is the Vice Chairman of the Management Board of WASP Privatstiftung.

Areas of Responsibility Hannes Ametsreiter

- Marketing (Group)
- Technology (Group)
- Human Resources (Group)
- International Business Development / Group Strategy
- Mergers & Acquisitions
- Regulation & European Affairs
- General Secretariat
- Corporate Communication (Group)
- Internal Audit (Group)

Hans Tschuden

Vice Chairman of the Management Board since January 1, 2009 and Chief Financial Officer since April 1, 2007, appointed until March 31, 2012

Hans Tschuden was born in 1958. He graduated from the Vienna University of Economics and Business Administration and the International Executive Program (INSEAD) in Paris. In 1989, Hans Tschuden joined the Wienerberger Group, first in controlling, then from 1993 onward as head of Wienerberger Rohrsysteme GmbH in Vienna. From 1995 he served as Managing Director of Kera-mo Wienerberger in Belgium before moving to Steinzeug Abwassersysteme in Cologne in 1998. In 1999, he became a member of the Wienerberger Management Committee and in May 2001, he was appointed CFO of Wienerberger AG.

Since April 1, 2007 Hans Tschuden has been the Chief Financial Officer of the Telekom Austria Group. On January 1, 2009 he was appointed Vice Chairman of the Management Board of the

Telekom Austria Group. Outside the Group, Hans Tschuden is a member of the Supervisory Boards of APK-Pensionskassen AG and HFA Zwei Mittelstandsfinanzierungs-AG. Hans Tschuden holds no other comparable positions outside the Group.

Areas of Responsibility Hans Tschuden

- Investor Relations
- Controlling (Group)
- Treasury (Group)
- Accounting (Group)
- Purchasing (Group)
- Legal / General Counsel

Members and Committees of the Supervisory Board

The Supervisory Board of the Telekom Austria Group comprises eight members who are elected by the Annual General Meeting, three members who are delegated by the Central Works Council of A1 Telekom Austria and one member who is delegated by the Trade Unions of Telekom Austria AG. Employee participation on the Supervisory Board is a legally regulated aspect of the corporate governance system in Austria.

The Supervisory Board has set up three committees to provide effective support by carrying out preparatory work on selected tasks and issues on behalf of the Supervisory Board.

The **Audit Committee** is responsible for auditing and preparing the approval of the annual financial statements and for auditing the consolidated financial statements, the proposal for the distribution of profit, the Management Report and the Group Management Report as well as the Corporate Governance Report. High priority is also given to monitoring the accounting process, the effectiveness of the internal control system, the internal audit system and the risk management system. It also prepares the selection of the auditor, monitors the independence of the auditor and the auditor of the consolidated accounts, in particular with regard to the performance of additional services. The members of the Audit Committee are Peter Michaelis, who serves as Chairman, Wilfried Stadler, who acts as the financial expert, Peter Oswald, Rainer Wieltisch, Wilhelm Eidenberger and Alexander Sollak.

Peter Michaelis (Chairman) and Edith Hlawati constitute the **Chairing and Remuneration Committee**. The Chairing Committee confers regularly with the Chairman of the Management Board, prepares the meetings of the Supervisory Board and is authorized to make decisions on matters of urgency. In its capacity as the Remuneration Committee, the Chairing Committee is responsible for concluding contract negotiations with the Management Board and defining the remuneration of the Management Board; it also sets the targets for the calculation of performance-related bonuses and monitors the achievement of goals.

The **Personnel and Nomination Committee** submits proposals to the Supervisory Board for appointments to positions on the Management Board that have become vacant and also deals with questions of succession planning. This Committee comprises Peter Michaelis, the Chairman, Edith Hlawati and Werner Luksch.

Supervisory Board Activities in the Year under Review

During 2010, the Supervisory Board held extensive discussions on the strategic orientation of the Telekom Austria Group, its business development

and corporate structures at seven meetings of the Supervisory Board, one strategy workshop and five meetings of the Audit Committee. Of particular importance was the resolution concerning the merger of mobilkom austria AG and Telekom Austria TA AG to form A1 Telekom Austria AG as well as the new Group structure. Other focal areas of work are explained in the Report by the Supervisory Board.

In the year under review, the seven members of the Supervisory Board, who are still active, attended all seven meetings, four members failed to attend one meeting each, one member was unable to attend two meetings. No member of the Supervisory Board attended fewer than 50% of the Supervisory Board meetings. All members of the Supervisory Board attended the strategy workshop.

Independence of Supervisory Board Members

The guidelines laid down by the Supervisory Board in 2006 to determine the independence of its members were adjusted in 2009 to comply with the modified provisions of the Austrian Corporate Governance Code and now conform to Appendix 1 of the Code. Pursuant to these provisions, the members of the Supervisory Board are deemed to be independent if they have no business or personal relations with the company or its Management Board that could result in a material conflict of interest and thus influence the members' behavior. The business relationship with the law firm Cerha Hempel Spiegelfeld Hlawati, in which Edith Hlawati, the Vice Chair of the Supervisory Board, is a partner, was authorized by the Supervisory Board in 2006. The hourly rates charged by this firm conform to local practice and are consistent with those billed to third parties. Consultancy fees paid to Cerha Hempel Spiegelfeld Hlawati amounted to TEUR 627 compared to TEUR 495 in the previous year.

The Annual General Meeting held on May 27, 2010 approved remuneration of EUR 30,000 for the Chairman of the Supervisory Board, EUR 22,500 for the Vice Chairwoman and EUR 15,000 for all other members for the 2009 financial year, which remained unchanged compared to the previous year. Remuneration for members of the Supervisory Board for 2009 was paid out following the discharge by the Annual General Meeting in May 2010. Until further notice, the attendance allowance for meetings of the Supervisory Board is set at EUR 300 per member and meeting. In 2010, remuneration amounting to TEUR 179, including expenses (2009: TEUR 173) was paid to members of the Supervisory Board.

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Remuneration of the Members of the Supervisory Board

Name	Remuneration awarded for the 2009 financial year and paid in 2010 in EUR	Meeting attendance allowance in 2010 in EUR
Peter Michaelis	30,000	4,200
Edith Hlawati	22,500	2,400
Henrietta Egerth-Stadlhuber	15,000	2,100
Stephan Koren*	15,000	600
Peter J. Oswald	15,000	4,200
Wolfgang Rutenstorfer	–	900
Wilfried Stadler	15,000	3,800
Harald Stöber	15,000	2,400
Rainer Wieltisch	15,000	4,200
Wilhelm Eidenberger	–	3,600
Werner Luksch	–	1,800
Alexander Sollak	–	600
Gottfried Zehetleitner	–	600
Silvia Bauer**	–	1,500
Markus Hinker***	–	2,700
Michael Kolek****	–	600

Members of the Supervisory Board

Name (Year of Birth)	Peter Michaelis, Chairman (1946)	Edith Hlawati, Vice Chairwoman (1957)	Henrietta Egerth- Stadlhuber (1971)	Stephan Koren* (1957)	Peter J. Oswald (1962)	Wolfgang Ruttenstorfer (1950)	Wilfried Stadler (1951)	Harald Stöber (1952)	Rainer Wieltsch (1944)
Profession	CEO of Österreichische Industrieholding Aktiengesellschaft	Partner in the law firm Cerha Hempel Spiegelfeld Hlawati	Managing Director of the Austrian Research Promotion Agency	Deputy Director General of BAWAG PSK Bank für Arbeit und Wirtschaft und Österreichische Postsparkasse Aktiengesellschaft	Member of the Boards of Mondi plc (UK) and Mondi Ltd (South Africa), CEO of Mondi AG	Chairman of the Executive Board of OMV AG	Business consultant, bank consultant, honorary professor at the Vienna Uni- versity of Economics and Business	Business consultant	Managing Director of Aabar Automotives GmbH, Aabar Europe Holding GmbH, Aabar Infrastructure GmbH, Aabar Infrastructure Holding GmbH, IPIC Ferrostaal Holdings GmbH, IPIC Gamma Holdings GmbH and NOVA Chemicals Holding GmbH
Other Supervisory Board Positions and Comparable Functions	OMV AG, Öster- reichische Post AG, APK Pensionskas- sen AG	Österreichische Post AG		BAWAG PSK Versi- cherungs-AG, Ös- terreichische Kontroll- bank AG, Omnimedia Werbegesellschaft mbH, Wiener Stadt- werke Holding AG, BWA Beteiligungs- u. Verwaltungs-AG, Bausparkasse Wüstenrot AG, Austria Wirtschaftsservice GmbH; Öster- reichische Industrie- holding Aktiengesell- schaft	Chairman of the Supervisory Board of Mondi Swiecie SA	CA Immobilien Anlagen AG, Vienna Insurance Group AG Wiener Versicherung Gruppe, Hoffmann- La Roche Ltd, OMV Petrom S.A., OMV Exploration & Production GmbH, OMV Gas & Power GmbH, OMV Refining & Marketing GmbH, OMV Solutions GmbH	ATP Planungs- u. Beteiligungs AG, East Centro Capital Management AG, Österreichische Staatsdruckerei Holding AG, Trodat Holding GmbH, Wienstrom GmbH	Deutsche Messe AG Hannover, Vodafone D2 GmbH, Vodafone Holding GmbH	Ferrostaal AG
First Appointed	June 28, 2001	June 28, 2001	May 20, 2008	September 17, 1999	May 20, 2008	May 27, 2010	July 15, 2005	June 4, 2003	June 12, 2002
End of Current Term of Office or Date of Retirement	2012	2012	2012	May 27, 2010	2012	2012	2012	2012	2012
Independent pursuant to Rule 53 and 54 of the Austrian Corporate Governance Code	Independent pursuant to Rule 53, but not Rule 54	yes	yes	no	yes	yes	yes	yes	yes

Members of the Supervisory Board Delegated by the Works Council

Name (Year of Birth)	Wilhelm Eidenberger (1962)	Werner Luksch (1967)	Alexander Sollak (1978)	Gottfried Zehetleitner (1962)	Silvia Bauer** (1968)	Markus Hinker*** (1959)	Michael Kolek**** (1960)
Profession	Chairman of the Works Council Linz of A1 Telekom Austria AG	Deputy Chairman of the Central Works Council of A1 Telekom Austria AG	Chairman of the Trade Union Committee of Telekom Austria AG	Member of the Central Works Council of A1 Telekom Austria AG	Member of the Central Works Council of A1 Telekom Austria AG		
Other Supervisory Board Positions and Comparable Functions		Österreichische Industrieholding AG			Telekom Austria Personalmanage- ment GmbH		APK Pensionskassen AG
First Appointed	April 30, 2001	August 3, 2007 to October 20, 2010, Reappointed on January 11, 2011	November 3, 2010	October 27, 2010	January 30, 2009	July 15, 2005 until January 27, 2009, Reappointed as of February 18, 2010	March 20, 2002
End of Current Term of Office or Date of Retirement					November 3, 2010	December 31, 2010	February 10, 2010

* retired on May 27, 2010 ** retired on November 3, 2010 *** from February 18, 2010 to December 31, 2010 **** retired on February 10, 2010

Management Board Remuneration Report

The Remuneration Committee is responsible for structuring the remuneration package awarded to the Management Board. Besides a basic salary, a variable performance-based component was agreed with the members of the Management Board. This performance-based component is contingent upon the achievement of defined targets and is limited to 150% of the basic salary. The targets for the variable salary component are based equally on key financial figures such as Economic Value Added (EVA) or free cash flow and on strategic objectives. The amount of the variable salary is calculated on the basis of the annual financial statements approved by the Supervisory Board and the implementation of the strategic projects discussed by the Supervisory Board and authorized by the Remuneration Committee. The previous stock option program ESOP was replaced

by a Long Term Incentive Program in the year under review. Total expenses for the basic salaries of members of the Management Board in 2010 amounted to TEUR 899 (2009: TEUR 1,002), with additional performance-based remuneration totaling TEUR 704 (2009: TEUR 1,318). No benefits were derived from the multi-year stock option program in 2010.

Members of the Management Board receive a contribution to a voluntary payment plan amounting to 10% of their fixed gross annual salary. When they leave the company upon termination of contract, the amount of the severance payment is based upon the length of their employment and is limited to one gross annual salary. In the event that a Management Board member's contract is

terminated prematurely due to a change of control, the member is entitled to 50% of the contractually agreed benefits and conditions, however, for at least a twelve-month period. A change of control is deemed to have taken place if an investor holds at least 26% of all Telekom Austria AG shares or more shares than the Österreichische Industrieholding. **Continued on page 16** ►

Remuneration of the Individual Members of the Management Board 2010

	Basic salary (including remuneration in kind)		Performance-based remuneration		Multi-year stock-based remuneration		Total remuneration	
Management Board's remuneration in TEUR	2010	2009	2010	2009	2010	2009	2010	2009
Hannes Ametsreiter	458	436	357	436	—	—	815	872
Hans Tschuden	441	441	346	441	—	—	787	882
Boris Nemsic	—	124	—	442	—	—	—	566
Total	899	1,002	704	1,318	0	0	1,603	2,320

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Long Term Incentive Program

The Long Term Incentive Program (LTI) of the Telekom Austria Group introduced in the 2010 business year replaced the “ESOP” stock option program established in 2004. This new incentive scheme aimed at Management Board members, executives and selected employees runs in three-year cycles and started for the first time on January 1, 2010. Unlike the previous model, LTI is not based on options but on the allocation of shares contingent upon the achievement of specific targets. At the end of the 3-year period, the targets or key figures defined by the Supervisory Board must have been met. Participants in the program must hold an investment in the company through the purchase of Telekom Austria shares until the end of the incentive scheme period. The minimum amount of this investment is based upon the number of shares allocated to each of the participants. Payments are made in cash. The amount of the payment depends on the achievement of the key figures defined by the Supervisory Board within a three-year period, ranging from no less than 0% and no more than 175% of the participant’s investment. A detailed description of the Long Term Incentive Program can be found in the Notes to the Annual Financial Statements.

The Long Term Incentive Program of the Telekom Austria Group complies with the requirements of the Corporate Governance Code (C Rule 28). The relevant target figures focus on the long-term development of the company; moreover, the investment required by the participants is also an important motivating factor. The stock option program ESOP established in 2004 and in which some

300 employees are participating, will be allowed to expire without renewal; the final tranche was issued in 2009. Participants in ESOP were required to make an investment by purchasing Telekom Austria shares. The options may only be exercised if earnings per share reach the target value defined by the Supervisory Board. A detailed description of the stock option program can be found in the Notes to the Annual Financial Statements.

To meet the eligibility requirements for the ESOP and LTI programs, the members of the Management Board Hannes Ametsreiter and Hans Tschuden held 25,674 and 25,700 Telekom Austria shares respectively as of 31, Dezember 2010.

Promotion of Female Executives

Two out of eight, or 25%, of shareholder representatives on the Supervisory Board of Telekom Austria AG are women, a figure that is considerably higher than the average quota within the ATX. 17% of all members of the Supervisory Board of Telekom Austria AG are women. Since 2001, the important function of Vice Chair of the Supervisory Board has been held by a woman, Edith Hlawati. A further fifteen Supervisory Board positions within the Telekom Austria Group are held by women as are seven Management Board and managing director positions. Two of the four Group Officers at Telekom Austria AG are women. The proportion of women in managerial positions at the Telekom Austria Group in 2010 amounted to 32%. The Telekom Austria Group Business School established in 2010 promotes a common understanding of the company’s values, which include aspects such as general diversity and thus also gender diversity.

“Directors and Officers” (D&O) Insurance

The Telekom Austria Group has concluded and also pays the costs of a Directors and Officers (D&O) insurance policy for the members of the Group’s Management Board, managing directors and the members of the Supervisory Board.

Auditor’s Fees

KPMG Austria GmbH Wirtschaftsprüfungs- und Steuerberatungsgesellschaft credibly demonstrated its impartiality to the Audit Committee of the Supervisory Board, in particular regarding reporting pursuant to § 270 para. 1a of the Austrian Commercial Code. A detailed analysis by the Supervisory Board revealed no legal obstacle to the appointment of KPMG Austria GmbH Wirtschaftsprüfungs- und Steuerberatungsgesellschaft. On May 27, 2010 the Annual General Meeting elected KPMG Austria GmbH Wirtschaftsprüfungs- und Steuerberatungsgesellschaft as auditors of the annual financial statements and consolidated financial statements for the 2010 financial year. The expenses of the Telekom Austria Group for the audit of the 2010 annual financial statements amounted to EUR 1.9 million after EUR 1.6 million in the previous year. Consultancy fees for additional services provided by KPMG in 2010 amounted to EUR 0.2 million compared to EUR 0.1 million in 2009. Expenses for tax consultancy and other services totaled EUR 0.5 million (2009: EUR 0.5 million).

Other Corporate Governance Instruments

The Telekom Austria Group’s risk management system enables a Group-wide structured identification, evaluation and management of risks on the basis of a defined risk policy as well as strategic and operational objectives. Its effectiveness is subject to external evaluation by the auditors

pursuant to Rule 83 of the Corporate Governance Code and, along with the effectiveness of the internal control system, is monitored by the Audit Committee.

The internal control system of the Telekom Austria Group is aimed at safeguarding the effectiveness and profitability of business activities, the integrity and reliability of financial reporting as well as compliance with the relevant laws and regulations. The Code of Conduct, which is binding throughout the Group, is designed to raise awareness among employees with regard to corruption prevention and lawful ethical conduct. A reporting system has been put in place that enables employees to confidentially report legally dubious procedures or violations of this code. A comprehensive compliance package was implemented in 2010 as part of a far-reaching anti-corruption training program, which includes guidelines concerning consulting, lobbying and sponsoring contracts as well as the exchange of gifts and invitations. The Code of Conduct has been published at **telekomaustria.com**. To prevent the misuse or passing on of confidential information, group-wide compliance guidelines have been implemented and classified units defined within the company. ■

Vienna, February 10, 2011



Hannes Ametsreiter



Hans Tschuden

Report by the Supervisory Board

Ladies and Gentlemen,

With the integration of the fixed line and mobile communication activities on the domestic market in 2010 and the group-wide reorientation of Corporate Governance, the Telekom Austria Group is well-prepared to meet future customer demand for convergent solutions and higher bandwidths. In the year under review, the Telekom Austria Group continued to respond to the challenges presented by its highly competitive, increasingly saturated markets and the persistently difficult macroeconomic environment with a marketing and technology offensive combined with measures to enhance operational excellence.

In the 2010 financial year, the Supervisory Board held extensive discussions on the strategic orientation and business development of the Telekom Austria Group and the individual operating companies at seven meetings of the Supervisory Board and at one strategy workshop. The Supervisory Board also oversaw the integration of fixed line and mobile communication activities in Austria and the implementation of effective corporate governance structures in the new Group structure. Other activities involved assessing value-accretive growth opportunities to strengthen the Telekom Austria Group’s position as an integrated, convergent provider of smart information and communication solutions, as well as evaluating market consolidation possibilities. In spring 2010, the Supervisory Board also dealt with the systemic basis and effectiveness of the compliance management system in greater detail.

Together with the Management Board, the Supervisory Board drew up resolutions to be put before the Annual General Meeting on May 27, 2010. The legal requirements of the amendment to the Stock Corporation Act necessitated an extensive revision of the Articles of Association. Furthermore, following the resignation of Stephan Koren, who has been on the company’s Supervisory Board for many years, the Nomination Committee and the

Supervisory Board prepared a nomination proposal for this vacant seat. With Wolfgang Ruttenstorfer, who has recently joined the company’s Supervisory Board, Telekom Austria AG has been able to attract an executive with many years of experience as the head of one of the largest companies listed on the ATX and who has extensive market expertise in Eastern Europe.

Due to the restructuring of the Group and Works Council elections, several members of the Supervisory Board delegated by the Works Council were replaced. Following the resignation of Michael Kolek in February 2010, Markus Hinker was delegated to the Supervisory Board until the end of the year. Werner Luksch served as a member of the Supervisory Board until October 20, 2010 and reassumed his mandate on January 11, 2011. Gottfried Zehetleitner joined the Supervisory Board on October 27, 2010. Silvia Bauer, who resigned from the Supervisory Board in early November 2010, was replaced by Alexander Sollak.

I would therefore like to offer my warmest thanks to all former members of the Supervisory Board, and in particular to Stephan Koren, for the constructive contribution they have made to the successful development of the Telekom Austria Group.

At its meeting in August 2010 in Bulgaria, the Supervisory Board had the opportunity to gain a first-hand impression of the strategic orientation of the Bulgarian subsidiary Mobiltel, and to discuss with the local management the acquisitions that have been made with the aim of repositioning the company on the basis of an expanded, convergent portfolio.

The strategy workshop dealt in detail with the framework conditions, future challenges and the resulting options for action aimed at safeguarding the Telekom Austria Group’s value-oriented growth going forward. The 2011 budget and the business plan for the period 2011 to 2014 were the main topics of discussion at the meeting of the Supervisory Board in December 2010. At this meeting the Supervisory Board also analyzed the effectiveness of its activities pursuant to Rule 36 of the

Austrian Corporate Governance Code on the basis of the results of the self-evaluation questionnaire.

The Supervisory Board of Telekom Austria AG is strongly committed to compliance with the Austrian Corporate Governance Code and to a responsible company management and control aimed at generating sustainable corporate value. The Supervisory Board has, therefore, laid down criteria for determining the independence of its members. All shareholder representatives on the Board declared their independence pursuant to Rule 53 of the Austrian Corporate Governance Code, while seven out of eight members of the Supervisory Board declared their independence pursuant to Rule 54 of the Code.

In accordance with Rule 62 of the Austrian Corporate Governance Code, Telekom Austria AG’s compliance with the provisions of the Code and the correctness of its public reporting are externally evaluated on a three-year basis. The most recent evaluation, which was carried out by KPMG in early 2011, discovered no facts that conflicted with the declaration made by the Management Board and Supervisory Board regarding observance and compliance with the Comply or Explain Rules or the recommendations of the Austrian Corporate Governance Code for the 2010 business year.

At five meetings in 2010 the Audit Committee of the Supervisory Board dealt intensively with financial reporting during the preparation of the annual financial statements and the quarterly reports as well as carrying out its duties to monitor the effectiveness of the internal control system, risk management and the internal audit system. During the audit of the annual financial statements and the consolidated financial statements for 2010, the Audit Committee also received regular reports on the results of the auditing procedure for both reports. KPMG Austria GmbH Wirtschaftsprüfungs- und Steuerberatungsgesellschaft credibly demonstrated its impartiality to the Audit Committee, in particular with regard to reporting pursuant to Article 270 para. 1a of the Austrian Commercial Code. The outcome of the Audit Committee meetings was communicated to the Supervisory Board on a regular basis.

The Nomination Committee of the Supervisory Board prepared the selection of a candidate to fill the seat on the Supervisory Board that had become vacant.

The Chairing Committee of the Supervisory Board confers regularly with the CEO regarding strategy, business development and risk management, and also prepares the meetings of the Supervisory Board.

The annual financial statements of Telekom Austria AG and the consolidated financial statements as of December 31, 2010 received unqualified opinions from KPMG Austria GmbH Wirtschaftsprüfungs- und Steuerberatungsgesellschaft. The Management Report and the Group Management Report are consistent with the annual financial statements and the consolidated financial statements. After prior consultation with the Audit Committee, and extensive discussion and review, the Supervisory Board approved the 2010 financial statements in accordance with Article 96 para. 4 of the Austrian Stock Corporation Act. Furthermore, after prior consultation with the Audit Committee, and detailed discussion and review, it also approved the consolidated financial statements pursuant to Article 245a of the Austrian Commercial Code and IFRS, the Management Report, the Group Management Report and the Corporate Governance Report.

The Supervisory Board approved the Management Board’s proposal to distribute a dividend of EUR 0.75 per eligible share and carry forward the remaining amount.

I would like to take this opportunity to thank the members of the Management Board and all our employees for the commitment they have shown in 2010 and ask both our growing number of customers in Austria and abroad as well as the shareholders of Telekom Austria AG to remain loyal to us in the years to come. ■

Peter Michaelis

Chairman of the Supervisory Board
Vienna, February 2011

Group Management Report 2010

audited pursuant to § 269 of the Austrian Commercial Code

Recovery of Global Economic and Financial Markets

Following a deep-seated economic and financial crisis, which started to unfold in 2008 and peaked in mid 2009, the 2010 business year was characterized by an economic recovery that varied in intensity across countries. While in some of the EU member states like Germany, Austria and Finland the recovery clearly started to gather momentum in the year under review, the economies of Spain, Greece and Ireland labored under the strains of a persistent recession and national debt crises. Both Greece and Ireland applied for financial assistance from the European Financial Stability Facility (EFSF), triggering widespread uncertainty on the financial markets and leading to substantial depreciation of the euro by the middle of the year. Economic trends in Austria benefited from export growth and a greater willingness to invest. According to preliminary

estimates by the Austrian Institute of Economic Research (WIFO), real GDP in Austria rose by 2.0%, the unemployment rate declined from 4.8% to 4.4% well below the EU 27 average of 9.6%, while inflation increased from 0.5% to 1.9%. In 2010, Central and Eastern Europe profited from a stronger economic performance in Western Europe and were able to generate growth from the export sector. However, in Southeastern Europe, impetus for growth was significantly weaker due to subdued foreign investment. The development of currencies in Central and Eastern Europe was marked by increasing stabilization, which in Croatia and the Republic of Serbia was mainly attributable to central bank intervention. In the year under review, the economic recovery in large parts of Europe and the US along

with the sustained growth of the Asian economies went hand in hand with the stabilization of the international financial markets. This favorable development was supported by liquidity injections from central banks and companies' improved profitability. At the Vienna Stock Exchange, the leading index ATX recorded a plus of 14.5% and the DAX in Germany an increase of approximately 14%. Both the European Central Bank (ECB) and the US Federal Reserve Bank (FED) continued to pursue a low interest-rate policy in the year under review. As a result, the key interest rate of the ECB has been stable at a level of 1.0% since May 2009 and that of the FED has remained unchanged at 0.25% since October 2008. ■

Regional differences in economic recovery, growth stimulus weaker in SEE

Telecom Industry Trends

The Telekom Austria Group operates in a highly competitive environment both in the fixed line and mobile communication markets. The resulting negative impact on pricing levels is further intensified by regulatory measures in all segments. Continuous scrutiny of cost structures and improvements to productivity and operating efficiency are therefore essential to safeguard the Telekom Austria Group's earnings power. In Austria, continued fixed-to-mobile substitution reflects the dynamics of current technological change. At the same time, the trend towards convergent products and customer demand for one-stop-shop communication services are increasingly gathering momentum. For this reason, in 2010 the Group's domestic fixed line and mobile communication operations were merged into a convergent telecom provider under the name A1 Telekom Austria Aktiengesellschaft (A1 Telekom Austria). Competitiveness is safeguarded by a market-oriented product portfolio and attractive pricing schemes. In the Central and Eastern European region, the development of the telecommunication industry continues to be shaped by a challenging macroeconomic environment, additional fiscal levies in Croatia and the Republic of Serbia (the levy in Serbia was abolished in January 2011) as well as a high level of competition. Moreover, convergent bundles and innovative premium products are gaining increasing importance and are influencing customer usage patterns. Regulatory measures, especially the reduction of mobile termination charges and roaming tariffs, are negatively impacting the Group's operational performance across all segments. ■

Regulation

Fixed Line Telecommunication Market in Austria

In accordance with the country's legal provisions, the Austrian Regulatory Authority again carried out a market analysis procedure in 2010 to assess the intensity of competition on the Austrian telecommunication market as well as the scope of current regulatory requirements imposed on companies with a dominant market position. The ongoing competitive pressure exerted by mobile communication on fixed line services not only affects voice telephony, it is also impacting the Austrian broadband market. The Regulatory Authority has therefore recognized these fixed-to-mobile substitution effects on broadband access lines and consequently provided for a partial deregulation of the domestic broadband market. As a result, the regulation of fixed broadband access lines for residential customers at the wholesale level was partially lifted. This decision was approved by the European Commission. Partial deregulation measures were also adopted in other telecommunication markets. For instance, regulatory requirements for wholesale rental lines "terminating segments" were lifted for certain high bandwidths and urban areas. Furthermore, regulatory requirements for certain markets of A1 Telekom Austria were eased: the strict rule of cost orientation for the determination of tariff schemes was replaced by a more flexible price-cap regime. There were no further significant reductions of regulatory intensity on the domestic fixed line telecommunication markets in the year under review. Within the framework of the aforementioned market analysis procedure, in 2010 the Regulatory Authority also assessed the market for

the physical access to network infrastructures at the wholesale level (former market for local loop unbundling), which is crucial to the national fiber-optic rollout. As a result, a ruling was issued settling general technical and operating questions concerning access to the next generation network/next generation access infrastructure. However, details regarding technical implementation and the commercial aspects of fiber-optic access are still subject to a review process that is currently underway. A resolution concerning fixed line interconnection charges was adopted mandating that tariff schemes that applied so far will be maintained until a new market review procedure has been carried out, which will take place once the new legal framework has come into effect. The new legal framework for the regulation of telecommunication services, which was approved by the European Commission at the end of 2009, must be implemented in Austria on the basis of an amendment to the Austrian Telecommunications Act by mid 2011. **Mobile Communication Markets** The Telekom Austria Group's mobile communication markets are governed by differing regulatory systems: Due to their membership of the European Union and the European Economic Area (EEA), Austria, Slovenia, Bulgaria and Liechtenstein are subject to regulations of these bodies, governing roaming tariffs and termination charges between the individual market players. The regulatory frameworks in Croatia, Belarus, the Republic of Serbia and the Republic of Macedonia are at various stages of development and in certain areas are gradually coming in line with European Union directives. On June 30, 2009 the second Regulation of the European Commission governing roaming tariffs became effective. This envisages a gradual

- annual reduction of roaming tariffs for all mobile communication providers within their operational areas starting from July 2009. The most important provisions are summarized as follows:
- Outgoing calls: reduction in caps on roaming voice tariffs from EUR 0.43 to EUR 0.39 as of July 1, 2010 and by a further EUR 0.04 as of July 1, 2011
 - Incoming calls: reduction in the price ceiling from EUR 0.19 to EUR 0.15 as of July 1, 2010 and by a further EUR 0.04 as of July 1, 2011
 - At the wholesale level: reduction in the price ceiling from EUR 0.26 to EUR 0.22 as of July 1, 2010 and by a further EUR 0.04 as of July 1, 2011
 - Abolition of roaming charges within the EU for the receipt of voice mail messages abroad as of July 1, 2010
 - Text messages: capping of retail prices at EUR 0.11 and of wholesale prices at EUR 0.04
 - The obligation to provide personalized tariff information for the use of data roaming services as well as the introduction of one or several cost caps or data volume limits as of March 1, 2010, which will result in the data roaming service being cut off once this ceiling has been exceeded unless the customer has explicitly consented to incurring additional expense. One of the offered ceilings has to amount to EUR 50 (or to the corresponding data limit).
 - Reduction in the wholesale price cap for data roaming services to EUR 0.80 per MB as of July 1, 2010 and to EUR 0.50 per MB as of July 1, 2011.

The second EU Roaming Regulation will terminate on June 30, 2012 unless the European Union decides to further extend it on the basis of a report by the European Commission to be submitted by June 30, 2011. In December 2010 and in preparation for this report, the European Commission published the results of a public consultation process regarding the impact of the roaming regulation to date and the potential effects of future regulatory alternatives. In particular, this public consultation underlines the search for a "permanent structural" solution. In this context it is important to point out that one of the goals of the European Commission's Digital Agenda is to reduce the difference between roaming and national tariffs to zero by 2015. In May 2010, the European Commission published a statement on its Digital Agenda, which is one of the 7 flagship initiatives of the Europe 2020 Strategy. The most important objectives of the EU Digital Agenda will impact the Telekom Austria Group's activities most strongly in relation to broadband rollout and the aforementioned roaming regulation. The Strategy seeks to ensure that all EU citizens have access to basic broadband Internet by 2013 and to transmission speeds of up to 30 Mbit/s or even higher by 2020. 50% of all European households should be equipped with ultrafast broadband with transmission speeds of more than 100 Mbit/s by 2020.

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In May 2009, the European Commission also published a recommendation concerning the calculation of termination rates with the aim of harmonizing the cost-based methods used by the national regulatory bodies and consequently the termination charges within the EU. The overall objective is to bring mobile termination charges in line with fixed line termination fees and to reduce them to between EUR 0.015 and EUR 0.03 per minute by year-end 2012 at the latest.

In September 2010, the European Commission published a proposal for the first “Multi-annual Radio Spectrum Policy Program” (RSPP) setting out policy guidelines for the strategic planning and harmonization of the use of spectrum within the European internal market between 2011 and 2015. One of the most important objectives concerns the use of the spectrum for mobile broadband services. According to the European Commission, the 790 to 862 MHz frequency band, which is part of the so-called Digital Dividend, must be made available in all EU member states by January 1, 2012. In May 2010, the Commission mandated harmonized, technical conditions for the use of the 800 MHz band for non-broadcasting services and more particularly for mobile broadband services and 4G mobile technologies such as Long Term Evolution (LTE). When member states open the 800 MHz band for the services described above they must comply with the requirements of this resolution. Pursuant to the RSPP proposal this resolution should be fully implemented by January 1, 2013. An extension of this deadline until January 1, 2015 for technical reasons should be possible with prior authorization of the Commission.

Spectrum trading is a further aspect of RSPP: the 800 MHz, 900 MHz and the 1800 MHz – as well as the 2.0 GHz, 2.6 GHz and 3.4 GHz – bands have been designated for this purpose and the Commission now has to propose concrete implementation measures. Furthermore, the Commission also plans to propose guidelines to safeguard the harmonization of selection criteria and licensing procedures for designated bands, which will mainly focus on infrastructure sharing models and terms and conditions of use. The RSPP is currently being debated by the European Parliament; political agreement, or if this should not be possible, the adoption of a progress report by the Council of Ministers of Telecommunications is expected for May 2011.

A spectrum auction for the 2.6 GHz band, which will facilitate the commercial launch of LTE technology in Austria and mobile broadband Internet access with transmission speeds of up to 100 Mbit/s, was completed at the end of September 2010. A1 Telekom Austria acquired 2x20 MHz of paired and 25 MHz of unpaired frequency blocks for a total consideration of EUR 13.2 million.

In Bulgaria, the acquisition of both fixed line broadband operators “Megalan Network” and “Spectrum Net” by Mobiltel was approved by the country’s competition authority in the year under review. In Croatia, the national regulatory authority decided to further reduce termination rates as of year-end 2010. As a consequence, the national termination charge for Vipnet was reduced to EUR 0.053 as of January 1, 2011. In Slovenia, the switchover to digital TV was concluded on December 1, 2010, marking a first step towards the future allocation of “digital dividend frequencies”. In the Republic of Serbia, the 10% mobile communication levy was abolished as of January 1, 2011. In the Republic of Macedonia, a gliding path for the reduction of mobile termination charges was agreed

in July 2010, according to which Vip operator will still be entitled to charge higher termination rates than the other providers in the country. In Belarus, velcom was able to acquire an additional frequency

package within the 2,100 frequency band with a bandwidth of 2 x 5 MHz for a total consideration of EUR 4.7 million. Furthermore, the possibility of spectrum refarming was established by law. ■

Change in the Reporting Structure

In the year under review, the Telekom Austria Group realigned its management structure to reflect the increasing demand for convergent products. As a result, segment reporting will be based on geographical markets from now on instead of the segmentation in fixed line and mobile communication businesses. The Telekom Austria Group reports separately on the five operating segments, Austria, Bulgaria, Croatia, Belarus and Additional Markets.

The Austrian segment comprises the former Fixed Net and Mobile Communication segments in Austria. This segment offers convergent product packages including voice telephony, Internet access, data and IT solutions, value added services, wholesale services, television broadcasting (aonTV), mobile business and payment solutions in Austria. The product portfolio of the Bulgarian segment encompasses voice telephony (both mobile and fixed line telephone services), access to emergency services, directory services, Internet access, data and IT solutions, value added services, wholesale services, the sale of end-user terminal equipment and payment solutions. The Croatian segment provides mobile and fixed line telephony, value added services and mobile Internet access in Croatia. The Belarusian segment includes mobile communication services in Belarus. The segment Additional Markets covers the mobile communication companies in Slovenia, the Republic of Ser-

bia, the Republic of Macedonia and Liechtenstein. The segment Corporate & Other performs strategic and cross-divisional management functions and acts as an interface with the capital markets.

The Telekom Austria Group uses the financial figures EBITDA comparable and EBITDA (incl. impairment and restructuring charges) to better reflect operational development of individual business units. EBITDA is defined as net income excluding financial result, income tax, depreciation and amortization. EBITDA comparable is defined as EBITDA adjusted for the expenses of the restructuring program as well as for impairment charges, when applicable. The restructuring program includes social plans for employees, whose employment contract is terminated in a socially responsible way, as well as expenses for the future compensation of civil servants, who no longer provide services to the Telekom Austria Group but whose employment contracts cannot be terminated due to their civil servant status. Furthermore, this figure includes expenses for the transfer of civil servants to the Austrian government.

Due to the utilization of EDP devices, differences can arise in the addition of rounded amounts. ■

Revenue and Earnings Development

In the year under review, the Telekom Austria Group reported revenues of EUR 4,650.8 million, a 3.1% decline compared to the previous year, in line with the revised outlook for 2010 in the quarterly reporting. The negative effect of foreign currency translation amounted to EUR 11.5 million or 0.2% in 2010.

Lower revenues from the Austrian, Bulgarian and Croatian segments could not be compensated for by the revenue growth in the Belarusian segment and in the Republic of Serbia and the Republic of Macedonia, which are included in the segment Additional Markets. Besides a very challenging economic environment, declining prices due to intensive competition and further regulatory cuts of roaming and termination tariffs remained the main drivers for this negative development.

In the year under review, fixed access lines showed a positive development in Austria. Thanks to the success of product bundles and rising de-

mand for fixed line broadband, the persistent decline in fixed access lines over recent years was stopped in 2010 and 1,400 net additions were registered. The Group’s mobile subscriber base increased by 5.0% to 19.9 million in 2010 compared to the previous year, with the Austrian and the Belarusian segments recording the strongest growth, with approximately 271,000 and 251,300 net additions respectively.

The Telekom Austria Group’s international activities (measured on the basis of the consolidated revenues of the international segments, i.e. of the foreign subsidiaries, as a share of total group revenues excluding the segments Corporate & Other and Eliminations) accounted for 35.4% of total revenues in 2010 after 34.5% in the previous year. In the year under review, the Telekom Austria Group continued to adopt extensive and group-wide measures to optimize operating expenses. As a result, operating expenses were maintained

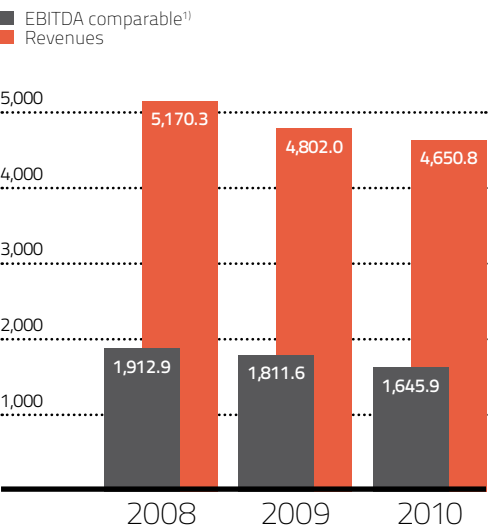
at a low level in 2010, showing a slight increase of 0.3%, while material expenses rose by 1.7% to EUR 403.6 million due to the greater number of end-devices sold. Employee costs rose by 2.4% to EUR 806.8 million compared to the previous year’s level due to salary adjustments. This increase in employee costs could not be mitigated by a reduction in the average number of personnel by 3.5% to 9,985 employees in the Austrian segment. The ongoing growth trend in the Belarusian segment as well as in the Republics of Serbia and Macedonia led to an increase in the average headcount of international operations by 1.7% to 6,534 employees. On a yearly average, total headcount declined at group level by 1.2% to 16,580 employees. Other operating expenses decreased by 0.9% to EUR 1,883.7 million in the year under review. This development was mainly driven by lower interconnection expenses and lower costs for services received – mainly attributable to lower termination charges and roaming tariffs – as well as by a reduction of expenses for advertising, repair and maintenance. Due to lower capital expenditures in previous years, depreciation and amortization charges decreased by 2.9% to EUR 1,065.6 million in the year under review compared to 2009.

EBITDA comparable, which does not include restructuring and impairment charges, declined by 9.1% from EUR 1,811.6 million in 2009 to EUR 1,645.9 million in 2010. While both the Belarusian and Additional Markets segments showed an EBITDA comparable growth of 3.8% and 197.0% respectively, lower revenues in the Austrian, Bulgarian and Croatian segments could only be partly offset by lower expenses. The negative effect of foreign currency translation on EBITDA comparable amounted to EUR 1.1 million in 2010. This led to a decrease of the EBITDA comparable margin from 37.7% in the previous year to 35.4% in the year under review.

Operational expenses for the integration of the Austrian fixed line and mobile communication operations totaled EUR 17.6 million in 2010.

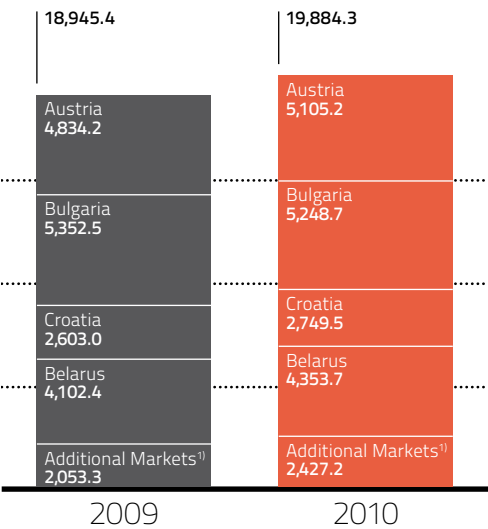
Restructuring costs, which are entirely attributable to the Austrian segment, amounted to EUR 124.1 million in 2010 and encompass costs that were incurred in connection with the company’s personnel restructuring program as well as expenses for the transfer of civil servants to the Austrian government. ►

Development of Revenues and EBITDA comparable in EUR million



¹⁾ EBITDA excluding restructuring and impairment charges

Customer Numbers Mobile Communication in '000 / as of Dec. 31



¹⁾ Slovenia, Republic of Serbia, Republic of Macedonia, Liechtenstein

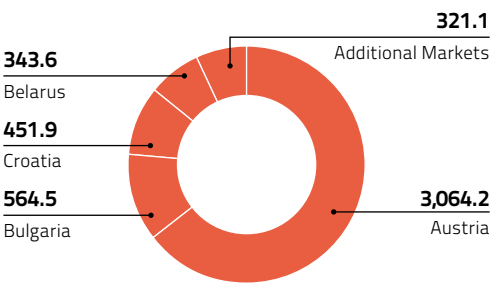
Financial Figures in million EUR

	2010	2009	Change in %
Revenues	4,650.8	4,802.0	–3.1
EBITDA comparable	1,645.9	1,811.6	–9.1
EBITDA comparable margin in %	35.4	37.7	–
EBITDA incl. restructuring and impairment charges	1,503.5	1,441.8	4.3
Operating income	437.9	343.9	27.3
Net income/loss	195.2	94.9	105.7
Income/loss per share in EUR	0.44	0.22	105.3
Capital expenditures ¹⁾	763.6	711.4	7.3
Net debt	3,305.2	3,614.8	–8.6

¹⁾ Excluding expenditures for asset retirement obligations

Operational success could only partly offset impact from regulation and price pressure on revenues and EBITDA comparable

Revenue Development by Segment in EUR million



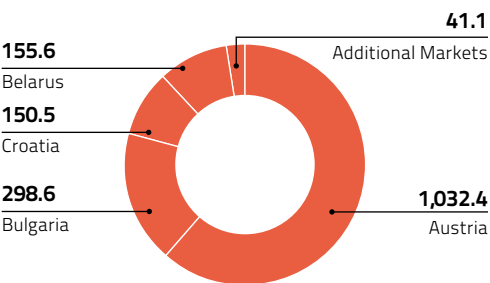
Total group revenues: EUR 4,650.8 million¹⁾

¹⁾ Corporate & Other, Eliminations: EUR –94.4 million

²⁾ For details of the content and composition of the reported segments and eliminations, please refer to the report of the Group's business segments in the Notes to the Consolidated Financial Statements.

Impairment charges totaled EUR 18.3 million in the year under review after EUR 352.2 million in the previous year and mainly resulted from the impairment of the Mass Response Service GmbH, a subsidiary of A1 Telekom

EBITDA Comparable by Segment in EUR million



Group EBITDA comparable: EUR 1,645.9 million¹⁾

¹⁾ Corporate & Other, Eliminations: EUR –32.3 million

Austria, which is included in the Austrian segment. In the 2009 business year, the goodwill of velcom had to be reduced by EUR 290.0 million due to the devaluation of the Belarusian ruble. Against the backdrop of a challenging economic environ-

ment in the Republic of Serbia, an impairment charge of EUR 62.0 million was recorded for the mobile license acquired by Vip mobile in 2009. On a year-on-year basis, EBITDA including restructuring and impairment charges rose by 4.3% from EUR 1,441.8 million to EUR 1,503.5 million.

Owing to the developments described above and a partial stabilization of currencies, operating income increased by 27.3% to EUR 437.9 million. The positive effect of foreign currency translation amounted to 2.1% or EUR 7.3 million.

The financial result of the Telekom Austria Group improved by 17.4% from a loss of EUR 237.6 million in 2009 to a loss of EUR 196.3 million in 2010. Total interest expenses decreased by 17.0% to EUR 207.1 million mainly due to the redemption of a EUR 500 million bond in January 2010. Interest income declined from EUR 29.5 million in 2009 to EUR 13.1 million as a result of lower short-term investments. The loss from exchange rate differences was reduced from EUR 14.2 million in 2009 to EUR 1.7 million in 2010 due to a more stable currency development. The loss in the previous year was mainly attributable to the devaluation of the Belarusian ruble by approximately 24%

and of the Serbian dinar by approximately 16% on a yearly average.

The increase in operating income went hand-in-hand with a rise in tax expenditures to EUR 46.5 million compared to EUR 11.4 million in the previous year.

In the 2010 business year, the Telekom Austria Group recorded a total increase in net income of 105.7% to EUR 195.2 million. Based on a weighted average number of shares outstanding of approximately 442.6 million, earnings per share improved from EUR 0.22 in the previous year to EUR 0.44 in the year under review.

The Group's Return on Invested Capital (ROIC) – operating income after taxes divided by the average invested capital) totaled 6.2% in 2010. Return on Equity (ROE – net income divided by average equity) amounted to 12.6% in the year under review. ■

Financial Figures by Segment in EUR million

Revenues	2010	2009	Change in %
Austria	3,064.2	3,203.7	–4.4
Bulgaria	564.5	614.7	–8.2
Croatia	451.9	476.9	–5.2
Belarus	343.6	300.3	14.4
Additional Markets	321.1	297.8	7.8
Corporate & Other, Eliminations ¹⁾	–94.4	–91.4	3.2
Total	4,650.8	4,802.0	–3.1

EBITDA comparable	2010	2009	Change in %
Austria	1,032.4	1,177.6	–12.3
Bulgaria	298.6	327.0	–8.7
Croatia	150.5	170.8	–11.9
Belarus	155.6	149.9	3.8
Additional Markets	41.1	13.8	197.0
Corporate & Other, Eliminations ¹⁾	–32.3	–27.6	16.8
Total	1,645.9	1,811.6	–9.1

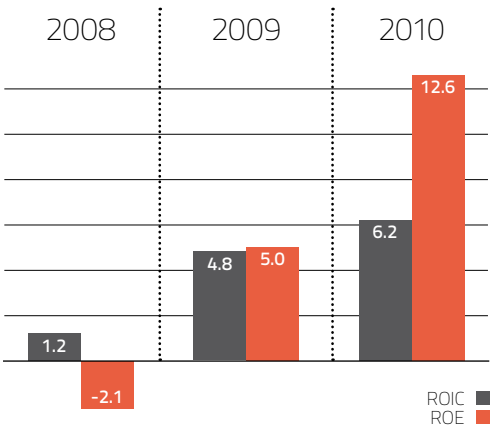
EBITDA incl. restructuring and impairment charges	2010	2009	Change in %
Austria	890.0	1,159.9	–23.3
Bulgaria	298.6	327.0	–8.7
Croatia	150.5	170.8	–11.9
Belarus	155.6	–140.1	–
Additional Markets	41.1	–48.2	–
Corporate & Other, Eliminations ¹⁾	–32.3	–27.6	16.8
Total	1,503.5	1,441.8	4.3

Operating income	2010	2009	Change in %
Austria	225.0	469.7	–52.1
Bulgaria	124.1	147.9	–16.1
Croatia	82.9	100.8	–17.8
Belarus	73.4	–211.9	–
Additional Markets	–36.1	–135.6	–73.4
Corporate & Other, Eliminations ¹⁾	–31.3	–26.9	16.3
Total	437.9	343.9	27.3

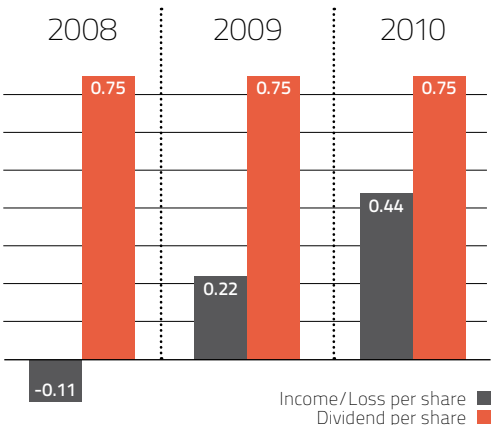
¹⁾ For details of the content and composition of the reported segments and eliminations, please refer to the report of the Group's business segments in the Notes to the Consolidated Financial Statements.

	2010	2009	2008
Income/loss per share in EUR	0.44	0.22	–0.11
Dividend per share in EUR	0.75	0.75	0.75
Free cash flow per share in EUR	1.43	1.52	1.71
ROE in %	12.6	5.0	–2.1
ROIC in %	6.2	4.8	1.2

Return on Invested Capital (ROIC) and Return on Equity (ROE) in %



Dividend and Income/Loss per Share in EUR



Operating Expenses in EUR million

	2010	2009	Change in %
Material expenses	403.6	396.8	1.7
Employee costs	806.8	788.0	2.4
Other operating expenses	1,883.7	1,900.1	–0.9
Restructuring costs	124.1	17.5	607.2
Impairment charges	18.3	352.2	–94.8
Depreciation and amortization	1,065.6	1,097.9	–2.9

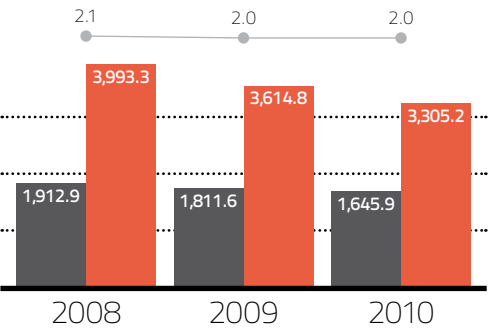
Balance Sheet Structure

The Telekom Austria Group's balance sheet total amounted to EUR 7,555.8 million as of December 31, 2010, down 11.1% on the previous year. While in 2009 the development of current assets had been marked by an increase in cash and cash equivalents resulting from the issue of a EUR 750 million bond, in the year under review current assets decreased by 29.0% due to the repayment of liabilities. In 2010, amortization and depreciation charges were higher than fixed asset additions. As a result, fixed assets declined by 4.7% to EUR 2,549.0 million. For the same reason, other intangible assets decreased by 9.6% to EUR 1,718.1 million.

Current liabilities declined in 2010 mainly

Development of Net Debt and EBITDA comparable

■ Net Debt in EUR million
■ EBITDA comparable in EUR million
● Net Debt to EBITDA comparable



due to the redemption of a EUR 500 million bond and the previously agreed settlement of obligations related to the acquisition of the remaining 30% stake in the Belarusian subsidiary velcom for a total consideration of EUR 582.7 million. Long-term debt decreased by 4.2% due to the shift of long-term debt to short-term borrowings. Long-term provisions increased to EUR 761.8 million due to the allocation to the restructuring provision.

Dividend payments amounted to EUR 331.9 million for the 2009 financial year. A decline in retained earnings by 28.3% led to a reduction of the stockholders' equity by 8.5% to EUR 1,476.9 million. Due to a lower balance sheet total, the equity ratio improved to 20% as of December 31, 2010 compared to 19% as of the balance sheet date of the previous year.

In the year under review, the Telekom Austria Group's net debt was reduced by 8.6% to EUR 3,305.2 million due to the redemption of a EUR 500 million bond and the settlement of obligations related to the acquisition of the remaining stake in velcom. The net debt to EBITDA comparable ratio remained unchanged at 2.0x in 2010.

Net Debt¹⁾ in EUR million

	Dec. 31, 2010	Dec. 31, 2009
Long-term debt	3,146.4	3,234.8
Short-term borrowings	522.6	1,501.6
Cash and cash equivalents, short-term and long-term investments, financing with related parties	-355.0	-1,099.0
Derivative financial instruments for hedging purposes	-8.9	-22.5
Net debt Telekom Austria Group	3,305.2	3,614.8
Net debt to EBITDA comparable ratio	2.0x	2.0x

¹⁾ Cross-border lease and finance lease obligations are included in long-term debt and short-term borrowings. Deposits for cross-border leases are included in short-term and long-term investments. The purchase price obligation related to the acquisition of SBT (velcom) is included in short-term borrowings and long-term debt.

Balance Sheet Structure in EUR million

	Dec. 31, 2010	As % of the Balance Sheet Total	Dec. 31, 2009	As % of the Balance Sheet Total
Current assets	1,437.7	19.0	2,023.8	23.8
Property, plant and equipment	2,549.0	33.7	2,675.2	31.5
Goodwill	1,489.2	19.7	1,493.1	17.6
Other intangible assets	1,718.1	22.7	1,900.3	22.4
Other assets	361.8	4.8	406.3	4.8
ASSETS	7,555.8	100.0	8,498.7	100.0
Current liabilities	1,883.0	24.9	2,679.5	31.5
Long-term debt	3,077.2	40.7	3,213.7	37.8
Employee benefit obligation	131.6	1.7	123.7	1.5
Long-term provisions	761.8	10.1	669.9	7.9
Other long-term liabilities	225.3	3.0	197.7	2.3
Stockholders' equity	1,476.9	19.5	1,614.2	19.0
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	7,555.8	100.0	8,498.7	100.0

Development of Cash Flow

In the year under review, cash flow generated from operations increased to EUR 1,397.5 million due to a reduction of the change in working capital by 0.9%. Cash flow used in investing activities declined by 33.7% to EUR 616.9 million as proceeds from time deposits exceeded the increase in capital expenditures. Cash outflow used in financing activities recorded an increase from EUR 1,235.6 million at year-end 2009 to EUR 1,388.4 million at year-end

2010 due to the issue of a EUR 750 million bond in 2009, the redemption of a EUR 500 million bond and the settlement of obligations related to the acquisition of the remaining stake in velcom in 2010. As a result, total cash and cash equivalents declined by EUR 609.9 million.

Cash Flow in EUR million

	2010	2009	Change in %
Cash flow generated from operations	1,397.5	1,385.4	0.9
Cash flow used in investing activities	-616.9	-929.8	-33.7
Cash flow generated from (used in) financing activities	-1,388.4	-152.9	808.3
Effects of exchange rate changes	-2.0	42.6	-
Change in cash and cash equivalents	-609.9	345.3	-

Capital Expenditures

Total capital expenditures rose by 7.3% to EUR 763.6 million on a year-on-year basis. The increase in capital expenditures for tangible assets by 10.9% to EUR 573.0 million is mainly attributable to investments in the "Next Generation Network" in the Austrian segment and to the UMTS rollout in the Belarusian segment. In Bulgaria, capital expenditures for tangible assets declined in the year under review as investments in the network infrastructure were already made in 2009.

The decline in capital expenditures for intangible assets of 2.1% to EUR 190.6 million in 2010 was mainly driven by a reduction in software

investments in the Bulgarian segment and lower expenditures for rights in the Republic of Serbia in the segment Additional Markets. In the Austrian segment the increase in capital expenditures for intangible assets in 2010 was mainly due to the acquisition of frequency blocks at a 2.6 GHz auction as well as to investments in IT software.

EUR 2.4 million are attributable to the integration of the domestic fixed line and mobile communication operations.

Capital Expenditures¹⁾ in EUR million

	2010	2009	Change in %
Tangible Austria	382.4	314.8	21.5
Tangible Bulgaria	42.2	38.6	9.1
Tangible Croatia	41.4	45.6	-9.1
Tangible Belarus	54.1	49.8	8.7
Tangible Additional Markets	52.9	68.0	-22.3
Total tangible	573.0	516.7	10.9
Intangible Austria	133.3	109.7	21.6
Intangible Bulgaria	24.1	36.2	-33.3
Intangible Croatia	6.9	12.0	-42.3
Intangible Belarus	8.8	9.4	-6.6
Intangible Additional Markets	17.4	27.4	-36.3
Total intangible	190.6	194.7	-2.1
Total capital expenditures ¹⁾	763.6	711.4	7.3

¹⁾ Excluding capital expenditures arising from asset retirement obligations.

Increase
in cash flow
generated from
operations
by 0.9% and in
capital expenditures
by 7.3%

Mobile customer growth of 5.0% to 19.9 million subscribers, increase in fixed access lines in Austria for the first time in 13 years

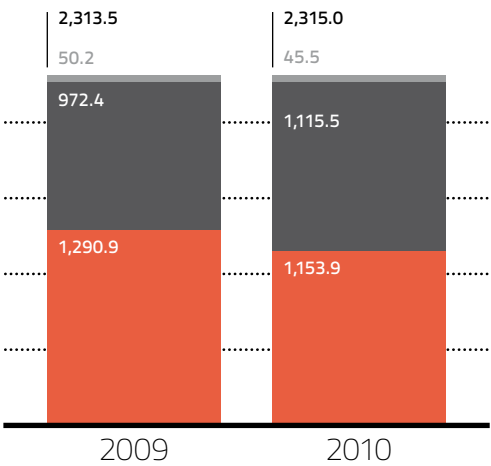
Austria

In the 2010 business year, product bundles continued to be successful. Attractive products and price structures as well as measures to strengthen customer loyalty led to increased demand for fixed broadband lines in both the residential and business customer segments. The aonTV subscriber base increased by approximately 50% to 151,300 customers. This strong demand led to a reversal of the fixed access line downward trend: in the year under review a growth of 1,400 lines was recorded for the first time. In 2009, 23,300 lines were lost. Fixed-to-mobile substitution continued in 2010, leading to a 12.1% decline in fixed line voice minutes.

The Austrian segment successfully expanded its mobile subscriber base by 5.6% to 5.1 million customers while at the same time increasing its share of contract customers from 72.8% to 76.0%.

Fixed Access Lines in Austria in '000

■ Fixed broadband wholesale lines
■ Fixed broadband retail lines
■ Fixed access lines – voice telephony



The number of mobile broadband customers rose by 29.4% to 653,748 driven by strong demand. Despite intense competition, market share remained largely stable during the year under review at 41.4% after 42.6% in 2009.

However, the positive development of customer numbers in both fixed line and mobile operations could not offset the negative effects of regulatory-induced reductions of roaming tariffs and interconnection charges as well as lower prices due to competitive pressure. As a result, revenues in the Austrian segment declined by 4.4% to EUR 3,064.2 million.

Due to the steady decline in fixed line minutes and competition-driven price reductions, Monthly Fee and Traffic revenues decreased by 4.0%, to EUR 2,085.7 million, whereas revenues from Data and ICT Solutions rose by 16.0% to EUR

215.8 million due to a regrouping of Wholesale revenues (incl. Roaming) and improved demand. As a result of this regrouping of revenues and lower prices, Wholesale revenues (including Roaming) fell by 18.3% to EUR 200.4 million. The lowering of national and international mobile termination rates led to a 7.8% decline in interconnection revenues to EUR 397.6 million. Equipment revenues in the year under review rose by 1.0% to EUR 107.2 million driven by demand.

As a one-off reimbursement from the government in the amount of EUR 10.2 million for investments in telecommunication surveillance equipment had been recorded in 2009, other operating income in the year under review fell by 6.6% to EUR 105.8 million. In 2010, a one-off net effect of EUR 1.9 million was recorded for a real estate disposal.

Average monthly revenues per fixed access line (ARPL) declined by 2.2% to EUR 33.3 in the year under review, as the increase in fixed access lines was unable to compensate for the decline in fixed line voice minutes.

Average revenues per mobile user (ARPU) decreased by 9.5% from EUR 24.3 to EUR 22.0 due to competition-driven price reductions and lower interconnection charges. This development was further exacerbated by the migration to cheaper package tariffs and an increased number of no-frills customers.

Operating expenses remained stable at EUR 2,137.6 million due to the continuation of the cost-cutting programs. While material and personnel expenses registered a small increase of 1.4% to EUR 245.4 million and 0.7% to EUR 670.5 million respectively, interconnection costs decreased by 4.5% to EUR 364.4 million due to falling termination charges and lower volumes, especially from fixed line operations.

Expenses for maintenance and repairs remained almost stable showing a slight increase of 1.6% to EUR 134.9 million. Expenses for services received decreased by 6.0% to EUR 182.7 million due to lower inter-operator tariffs, while costs for other services received rose due to higher demand for third-party services.

EBITDA comparable, which does not include restructuring and impairment charges, amounted to EUR 1,032.4 million in 2010, down 12.3% on the previous year; EBITDA comparable margin declined from 36.8% to 33.7%.

Restructuring expenses in the Austrian segment in the 2010 business year amounted to EUR 124.1 million, comprising a EUR 54.6 million charge for the transfers of civil servants to government bodies as well as an additional restructuring charge of EUR 69.4 million related to the restructuring program in 2008.

Negative business development at the subsidiary Mass Response Service GmbH led to an impairment charge of EUR 18.3 million. This comprised an impairment of goodwill amounting to EUR 11.7

million and an impairment charge on software, other intangible assets and other equipment of EUR 6.6 million. EBITDA, including restructuring and impairment charges, for the reporting year therefore amounted to EUR 890.0 million, 23.3% less than in 2009.

Depreciation and amortization charges declined by 3.7% to EUR 665.0 million due to lower investments in previous years.

As a result of the aforementioned effects, operating income in the Austrian segment fell by 52.1% to EUR 225.0 million. ■

Key Data Austria

Key Financials in EUR million	2010	2009	Change in %
Revenues	3,064.2	3,203.7	−4.4
of which Monthly Fee and Traffic	2,085.7	2,172.0	−4.0
of which Data and ICT Solutions	215.8	186.1	16.0
of which Wholesale (incl. Roaming)	200.4	245.1	−18.3
of which Interconnection	397.6	431.2	−7.8
of which Equipment	107.2	106.1	1.0
of which Other	57.4	63.1	−9.1
EBITDA comparable	1,032.4	1,177.6	−12.3
EBITDA comparable margin in %	33.7	36.8	−
EBITDA incl. restructuring and impairment charges	890.0	1,159.9	−23.3
Operating income	225.0	469.7	−52.1

Fixed Line			
ARPL in EUR	33.3	34.1	−2.2
Average tariff voice telephony in EUR/minute	0.082	0.078	5.1
Total access lines in '000s	2,315.0	2,313.5	0.1
of which fixed broadband lines in '000s	1,161.0	1,022.6	13.5
of which retail	1,115.5	972.4	14.7
of which wholesale	45.5	50.2	−9.4
Unbundled Lines	278.1	286.6	−3.0
Fixed line voice traffic in million minutes	2,972.7	3,380.1	−12.1
of which domestic traffic	2,031.5	2,352.8	−13.7
of which fixed-to-mobile traffic	631.6	681.3	−7.3
of which international fixed line traffic	309.6	346.0	−10.5
Broadband penetration in Austria in % of households	102.9	90.5	−

Mobile Communication			
Mobile communication subscribers in '000s	5,105.2	4,834.2	5.6
Share of contract customers in %	76.0	72.8	−
Market share in %	41.4	42.6	−
Penetration in %	146.7	135.7	−
Mobile broadband customers	653,748	505,183	29.4
ARPU in EUR	22.0	24.3	−9.5

Human resources (full-time employees as of Dec. 31)	9,717	10,045	−3.3
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Operating Expenses Austria in EUR million

	2010	2009	Change in %
Material expenses	245.4	241.9	1.4
Employee costs	670.5	665.6	0.7
Interconnection	364.4	381.5	−4.5
Maintenance and repairs	134.9	132.7	1.6
Services received	182.7	194.3	−6.0
Other services received	126.0	114.0	10.5
Other expenses	413.8	409.3	1.1
Total Expenses	2,137.6	2,139.3	−0.1

Bulgaria

In the year under review Mobiltel, the leading mobile communication operator in Bulgaria, was able to keep its market share stable at approximately 50% with some 5.2 million customers. Notwithstanding a slight improvement in the overall economic situation in Bulgaria in 2010 compared to 2009, demand was subdued in both the residential and business customer segments.

The trend towards convergent products and integrated telecommunication solutions from a single source intensified in the year under review. Mobiltel responded to this development and on September 15, 2010 announced the planned acquisition of two Bulgarian fixed line operators, thus becoming the first foreign subsidiary of the Telekom Austria Group to follow this global trend towards convergence. The first convergent products were brought to market under the M-Tel brand in the fourth quarter of 2010. The acquisitions were completed in January and February of 2011 and will be consolidated in the accounts of the Bulgarian segment as of the first quarter 2011.

Driven by demand for data products, the number of mobile broadband customers grew sharply in the year under review and more than doubled to 126,217.

The business performance of the Bulgarian segment was mainly impacted by lower prices for voice telephony due to competitive pressure, which could not be offset by higher monthly fees, as well as by the reduction of mobile termination charges. These two effects had a negative impact on revenue development in the year under review, leading to a decline of 8.2% to EUR 564.5 million. On the back of cost savings totaling EUR 23.7 million, which partially mitigated the negative effect of lower revenues on EBITDA comparable, the EBITDA comparable margin was 52.9% in 2010, almost matching the previous year's high level of 53.2%. Operating income declined by 16.1% to EUR 124.1 million. ■

Croatia

Despite a challenging economic environment, Vipnet increased its market share from 42.6% to 43.1% in the year under review. The mobile subscriber base grew by 5.6% to more than 2.7 million customers on the back of sharp increases in the number of both contract and prepaid customers. Mobile broadband also showed a favorable development, recording subscriber growth of 30.5% to 178,958 customers.

The 5.2% decline in revenues to EUR 451.9 million was mainly driven by lower Roaming and Interconnection revenues. Although the expansion of the subscriber base by 7.1% led to an increase in Monthly Fee revenues, these were unable to fully compensate for the decline in voice minutes. Foreign currency translation had a positive impact on revenues of EUR 3.3 million.

Thanks to strict cost management, operating expenses were reduced by 1.5% to EUR 303.6 million despite a 6% mobile communication levy. This development was mainly driven by lower material costs and expenses for services received

as well as reduced expenses for roaming and interconnection tariffs. EBITDA comparable fell by 11.9% to EUR 150.5 million on a year-on-year basis, reducing the EBITDA comparable margin from 35.8% to 33.3%. Foreign currency translation positively impacted EBITDA comparable by EUR 1.1 million. Due to the aforementioned effects, operating income declined by 17.8% to EUR 82.9 million in the year under review. ■

Key Data Bulgaria

Key Financials in EUR million	2010	2009	Change in %
Revenues	564.5	614.7	-8.2
EBITDA comparable	298.6	327.0	-8.7
EBITDA comparable margin in %	52.9	53.2	-
EBITDA incl. restructuring and impairment charges	298.6	327.0	-8.7
Operating income	124.1	147.9	-16.1
Mobile Communication			
Mobile communication subscribers in '000s	5,248.7	5,352.5	-1.9
Share of contract customers in %	64.2	59.0	-
Market share in %	49.6	49.8	-
Penetration in %	140.8	142.0	-
Mobile broadband customers	126,217	60,111	110.0
ARPU in EUR	8.3	9.1	-8.8
Human resources (full-time employees as of Dec. 31)			
	2,453	2,457	-0.2

Key Data Croatia

Key Financials in EUR million	2010	2009	Change in %
Revenues	451.9	476.9	-5.2
EBITDA comparable	150.5	170.8	-11.9
EBITDA comparable margin in %	33.3	35.8	-
EBITDA incl. restructuring and impairment charges	150.5	170.8	-11.9
Operating income	82.9	100.8	-17.8
Mobile Communication			
Mobile communication subscribers in '000s	2,749.5	2,603.0	5.6
Share of contract customers in %	25.0	24.6	-
Market share in %	43.1	42.6	-
Penetration in %	144.5	138.4	-
Mobile broadband customers	178,958	137,106	30.5
ARPU in EUR	11.3	12.3	-8.1
Human resources (full-time employees as of Dec. 31)			
	1,059	1,064	-0.5

Belarus

velcom successfully defended its position as the second-largest provider on the highly competitive Belarusian market, expanding its subscriber base by 6.1% to 4.4 million customers and maintaining its market share of approximately 42.0%. With the acquisition of the UMTS frequency in March 2010, the company was able to launch a comprehensive portfolio of broadband products, gaining 143,532 mobile broadband customers by the end of the year. The share of contract customers rose from 75.8% to 78.2%

The successful marketing of mobile broadband products in the Belarusian segment led to a revenue increase of 14.4% to EUR 343.6 million, driven by higher Monthly Fee and Traffic revenues as well as higher Equipment revenues, which were

bolstered by the introduction of netbooks to the market in June 2010.

As a result of this strong growth, operating expenses increased by 23.1% to EUR 193.3 million in a year-on-year comparison. However, due to higher revenues, EBITDA comparable grew by 3.8% to EUR 155.6 million; foreign currency translation negatively impacted EBITDA comparable by EUR 2.3 million in the year under review. The EBITDA comparable margin decreased from 49.9% to 45.3% due to higher expenses.

After an operating loss of EUR 211.9 million in 2009 due to an impairment charge of EUR 290.0 million resulting from the devaluation of the Belarusian ruble, operating income in the year under review rose to EUR 73.4 million. ■

Key Data Belarus

Key Financials in EUR million	2010	2009	Change in %
Revenues	343.6	300.3	14.4
EBITDA comparable	155.6	149.9	3.8
EBITDA comparable margin in %	45.3	49.9	-
EBITDA incl. restructuring and impairment charges	155.6	-140.1	-
Operating income	73.4	-211.9	-
Mobile Communication			
Mobile communication subscribers in '000s	4,353.7	4,102.4	6.1
Share of contract customers in %	78.2	75.8	-
Market share in %	41.9	42.7	-
Penetration in %	109.6	99.4	-
Mobile broadband customers	143,532	0	-
ARPU in EUR	6.2	6.1	1.6
Human resources (full-time employees as of Dec. 31)			
	1,770	1,711	3.4

Additional Markets

Slovenia

Si.mobil, the second-largest mobile communication operator in Slovenia, grew its subscriber base by 5.0% in 2010, improving its market share from 28.2% to 29.2%. The share of contract customers rose from 69.2% to 71.2%. Due to rising demand and a product portfolio that caters to customer needs, the number of mobile broadband customers grew by 20.4% to 14,559 subscribers.

While Monthly Fee and Traffic revenues benefited from the increase in the number of cus-

tomers, Roaming and Interconnection revenues declined, leading to a drop in total revenues of 3.4% to EUR 174.0 million.

At EUR 45.1 million EBITDA comparable was 6.5% lower than in the previous year as lower operating expenses of EUR 10.8 million were unable to compensate for the decline in revenues. The EBITDA comparable margin remained stable at approximately 26%. Operating income amounted to EUR 24.0 million, after EUR 25.5 million in the previous year. ■

Republic of Macedonia

In 2010, Vip operator in the Republic of Macedonia reported a 45.6% surge in customer growth. Due to this sharp increase in the contract customer base, average revenues per customer rose by 11.5% to EUR 6.8.

Revenues improved by 65.2% to EUR 35.8 million compared to the previous year. This increase was mainly driven by a higher share of contract customers and the resulting growth of Monthly Fee and Traffic revenues.

Operating expenses rose by EUR 6.3 million to EUR 41.4 million in a year-on-year comparison. This development was fuelled by higher interconnection expenses, driven by increased voice minutes, and higher material costs due to increased sales of equipment. EBITDA comparable improved from EUR –13.4 million to EUR –5.2 million. The operating loss of 20.9 million reported in 2009 was reduced to a loss of EUR 14.3 million in 2010. ■

Key Data Slovenia

Key Financials in EUR million	2010	2009	Change in %
Revenues	174.0	180.3	–3.4
EBITDA comparable	45.1	48.2	–6.5
EBITDA comparable margin in %	25.9	26.8	–
EBITDA incl. restructuring and impairment charges	45.1	48.2	–6.5
Operating income	24.0	25.5	–6.2
Mobile Communication			
Mobile communication subscribers in '000s	618.9	589.4	5.0
Share of contract customers in %	71.2	69.2	–
Market share in %	29.2	28.2	–
Penetration in %	102.7	102.9	–
Mobile broadband customers	14,559	12,094	20.4
ARPU in EUR	20.5	21.7	–5.5
Human resources (full-time employees as of Dec. 31)	331	329	0.6

Republic of Serbia

Vip mobile continued to grow its subscriber base in 2010, reporting a 17.8% increase to 1.4 million customers. Market share rose from 12.0% to 13.7%. An increase in the share of contract customers supported the 12.7% increase of average monthly revenues per user (ARPU) to EUR 6.2.

Revenues grew by approximately 30% to EUR 104.7 million, largely due to higher Monthly Fee and Traffic revenues. Foreign currency translation, however, impacted revenues negatively by EUR 10.1 million.

Increased employee costs and interconnection expenses led to a 3.1% rise in operating expenses to EUR 108.7 million in the year under review. The EBITDA comparable break-even target was also reached for the first time in the 2010 financial year.

Operating loss was reduced from EUR 143.3 million in 2009 to EUR 47.1 million in 2010. In the previous year operating loss included a one-off impairment charge of EUR 62.0 million for the Serbian mobile license. ■

Key Data Republic of Macedonia

Key Financials in EUR million	2010	2009	Change in %
Revenues	35.8	21.7	65.2
EBITDA comparable	–5.2	–13.4	–61.1
EBITDA incl. restructuring and impairment charges	–5.2	–13.4	–61.1
Operating income	–14.3	–20.9	–31.4
Mobile Communication			
Mobile communication subscribers in '000s	442.2	303.7	45.6
Market share in %	19.9	15.9	–
Penetration in %	108.2	92.7	–
ARPU in EUR	6.8	6.1	11.5
Human resources (full-time employees as of Dec. 31)	196	172	14.0

Liechtenstein

At year-end 2010, mobilkom liechtenstein had approximately 6,400 customers, 1.6% more than in the previous year. The decline in revenues to EUR 7.0 million was essentially due to a fall in Interconnection revenues.

As the decline in operating expenses was unable to completely compensate for falling revenues, EBITDA comparable decreased to EUR 1.3 million from EUR 3.4 million in 2009. Operating income fell to EUR 0.5 million from 2.6 million in a year-on-year comparison. ■

Key Data Liechtenstein

Key Financials in EUR million	2010	2009	Change in %
Revenues	7.0	15.6	–55.2
EBITDA comparable	1.3	3.4	–62.9
EBITDA incl. restructuring and impairment charges	1.3	3.4	–62.9
Operating income	0.5	2.6	–82.1
Mobile Communication			
Mobile communication subscribers in '000s	6.4	6.3	1.6
Market share in %	20.2	20.1	–
Penetration in %	91.5	90.1	–
ARPU in EUR	56.2	57.3	–1.9
Human resources (full-time employees as of Dec. 31)	15	15	0.0

Double-digit growth in mobile broadband across all segments

Cash use policy defines dividend payout ratio of 55% of free cash flow, dividend floor of EUR 0.76 per share for the years 2011 and 2012

Human Resources Innovation and Technology

At year-end 2010, the Telekom Austria Group had 16,501 employees, a decline of 72 employees compared to the previous year. As of December 31, 2010 the Austrian segment had 9,717 employees, around 57% of whom had civil servant status.

The Telekom Austria Group is consolidating its position in a dynamic and highly competitive environment. Against this background, the skills, education and further training of employees are central to safeguarding the company's competitiveness and innovative strength. At the same time, however, it is essential to increase efficiency and productivity. In order to address these fundamental challenges, the Telekom Austria Group uses modern instruments of human resource development and training, and creates performance-orientated remuneration schemes. In the year under review a total of EUR 12.4 million (2009: EUR 11.5 million) was spent on further education and professional training, the equivalent of EUR 754 per employee (2009: EUR 685). ■

Employees at year-end ¹⁾			
	2010	2009	Change in %
Austria	9,717	10,045	−3.3
International	6,634	6,519	1.8
Corporate	150	9	–
Total	16,501	16,573	−0.4

¹⁾ Full-time equivalents

The Telekom Austria Group's wide range of research and development activities focus on the creation of market-oriented products and services as well as the further technological development of network infrastructures.

In Austria, the rollout of the Next Generation Network (NGN) was continued in 2010. In addition to the ongoing upgrading of switching centers on the basis of VDSL technology (FTTEx – Fiber To The Exchange), the four fiber-optic pilot projects were further developed. The second of

the four pilot projects was completed in 2010, providing valuable experience in terms of costs and customer acceptance. Parallel to this, the further development and gradual migration of the existing infrastructure to a state-of-the-art All-IP service platform was pushed ahead. Investments in mobile communication networks were continued in 2010 to ensure adequate transmission capacity for the rising volume of data traffic and excellent quality in all networks.

Thus, four paired frequency blocks with 2x5

MHz each and five unpaired frequency blocks with 5 MHz each were acquired for the Austrian market at a 2.6 GHz frequency auction in September 2010. These frequency blocks provide the basis for the introduction of the Long Term Evolution technology. The commercial launch of the UMTS network in Belarus took place at the start of the reporting year.

In 2010, the Telekom Austria Group invested a total of EUR 38.4 million in research and development (2009: EUR 40.3 million). ■

Sustainable Corporate Management

The Telekom Austria Group's prime strategic objective is to sustainably enhance shareholder value. This goal is also reflected in the company's cash use policy. The focus is on integrating and striking a balance between economic, ecological and social aspects. The instruments used at Group level such as the Internal Control system, the Code of Conduct, compliance guidelines together with the commitment to comply with the Austrian Corporate Governance Code underline this corporate orientation.

Innovative solutions provided by information and communication technologies offer sig-

nificant potential for climate protection. The virtualization and digitalization of processes reduces the impact on the environment. Video-conferencing and teleworking help eliminate travel, thus reducing CO₂ emissions. Increased use of e-government, e-health, e-studying etc. also offers savings potential.

The Telekom Austria Group companies are active participants in a range of national and international environmental protection initiatives. By joining the WWF Climate Group, A1 Telekom Austria undertook to reduce its CO₂ emissions by at least 15.0% before 2012. A department for en-

ergy management ensures continuous improvements to energy efficiency and the systematic optimization of energy flows. In 2009, the energy management system was certified according to the new Austrian Standard ÖNORM EN 16001. To combat rising electricity consumption at computer centers, A1 Telekom Austria has also signed up to the Code of Conduct on Data Centres Energy Efficiency and the Code of Conduct on Energy Consumption of Broadband Equipment of the European Union. ■

Changes to the Management and Supervisory Boards

Following the resignation of Stephan Koren from the Supervisory Board of Telekom Austria AG, Wolfgang Ruttenstorfer was elected to the Supervisory Board at the Annual General Meeting held on May 27, 2010. Due to the restructuring of the Group and Works Council elections, several members of the Supervisory Board delegated by the Works Council were replaced. Following the resignation of Michael Kolek from the Supervisory Board on February 10, 2010, Markus Hinker was delegated to the Supervisory Board from February 18 to December 31, 2010. Werner Luksch served as a member of the Supervisory Board until October 20, 2010 and reassumed his mandate on January 11, 2011. Gottfried Zehetleitner has been a member of the Supervisory Board since October 27, 2010. Silvia Bauer resigned from the Supervisory Board on November 3, 2010. Alexander Sollak was appointed to the Supervisory Board as of the same date. ■

Cash Use Policy

In December 2010, the Telekom Austria Group presented an update of its cash use policy at its Capital Markets Day and announced its intention to distribute 55% of free cash flow as dividends.

For the years 2011 and 2012 a dividend floor of EUR 0.76 per share will apply. Maintaining a stable investment grade rating of at least "BBB" (stable outlook) remains central to the Group's financial

profile. Nevertheless, a higher leverage corridor of 2.0x – 2.5x net debt/EBITDA comparable provides increased flexibility to balance share buybacks with growth projects. The start of share buybacks depends on the potential volume of growth projects. However, cash will always be returned to shareholders via share buybacks if leverage falls below 2.0x net debt/EBITDA comparable. A stable

business and currency environment remains a general prerequisite for share buybacks. ■

Shareholder Structure and Disclosures about Share Capital

At year-end 2010, 71.48% or 316.6 million Telekom Austria AG shares were free-float. A further 0.1% or 0.4 million shares were held by the company itself. The remaining stake amounting to 28.42% or 125.9 million shares was held by the Republic of Austria through ÖIAG. As of January 20, 2010 Capital Research & Management, California, announced that it had increased its stake to 15.13% or 67.0 million of the 443 million shares originally issued. As the managers of the individual funds controlled by this company make their investment decisions

independently of one another, these shares are regarded as free float.

At the Annual General Meeting on May 20, 2009, the Management Board was authorized without further shareholder resolution to decrease the share capital of the company by up to EUR 100,326,000 by withdrawing up to 46 million treasury registered or bearer shares without par value pursuant to § 65 para. 1 No. 8 last sentence of the Stock Corporation Act as amended. There were no share buybacks in the year under review.

Several finance agreements contain Change of Control clauses, which can ultimately lead to termination of contract. Apart from these, the company has entered into no significant agreements that will become effective, change or be terminated upon a change of control in the company or a takeover bid.

The voting rights attached to shares belonging to the Telekom Austria Group's employees which are held in a collective custody account, are exercised by a notary. ■

Risk Management

Risk management at the Telekom Austria Group systematically identifies possible events and trends, and regulates procedures for dealing with both potential risks and opportunities. The main focus of activities is on market and competitive risks, interventions by regulators and uncertain legal situations, which could influence the company's success. The quality and technical reliability of infrastructure facilities and the security of data networks are also key areas of risk management, as weather conditions, human error or force majeure can have a negative impact on their performance. Risks and opportunities are regularly analyzed at both the segment and the Group level and effective measures are implemented to reduce or identify them. The effects of deviations from plan are established using, inter alia, scenario and probability calculations. The Telekom Austria Group's overall risk is calculated on the basis of the sum of individual risks. In addition to the Austrian fixed line and mobile communication markets, the Telekom Austria Group holds a leading position in the telecommunication markets of seven other countries, which provide the basis for both sectoral and broad geographical diversification.

As the operating markets of the Telekom Austria Group are exposed to risks of a diverse nature, risk management implementation is not a centrally steered process but falls under the responsibility of the designated managers. Segment-wide monitoring and coordination is carried out by a central risk manager. In structured interviews and workshops with top management, risks are identified, evaluated and then compiled in a risk report, on the basis of which, measures are drawn up and put in place to mitigate and avoid risks. Their effectiveness is then monitored in a second step.

Proper risk control is achieved by dovetailing business planning and risk management. Risk management at the Telekom Austria Group is monitored by the Audit Committee of the Supervisory Board on the basis of a risk catalogue, which defines regional and segment-related risks. After the risks have been assessed and categorized according to their threat potential, measures designed to deal with them are drawn up and implemented. A regular status report is sent to management as a controlling instrument.

Action was taken to counter risks arising from the integration of mobilkom austria Aktiengesellschaft and Telekom Austria TA Aktiengesellschaft by establishing an Integration Office and appointing a Chief Integration Officer to manage the integration process in 2010. In addition, a crisis intervention centre was set up to offer anonymous telephone and personal counseling to help employees cope with acute psychosocial crises.

The most important risk categories and individual risks, which could have a significant impact on the financial, assets and earnings position of the Telekom Austria Group, are explained below. This complies with the requirement of the Austrian Corporate Governance Code on the publication of risks and uncertainties.

Market and Competitive Risks

A high level of competition, which also increasingly affects the foreign markets, is leading to sharp falls in prices in voice telephony and data traffic. There is therefore a risk that volume growth will not be able to offset price declines. Although falling prices for mobile communication also accelerate fixed-to-mobile substitution, attractive product packages and a convergent corporate strategy led to a slight increase in the number of fixed access lines in Austria in 2010.

Regulatory and Legal Risks

Telecommunication services offered by a provider with significant market power are subject to network access and price regulation. The Telekom Austria Group is categorized as such in Austria in several sub-markets; the foreign subsidiaries are also subject to the regulatory frameworks of their own countries. Operational flexibility with regard to fixed line and bundled products is curtailed by regulation at both the retail and wholesale levels

as well as by the obligation to open up access to fixed infrastructure and services. Furthermore, regulatory decisions to reduce termination charges can also negatively impact the results of the Telekom Austria Group.

In 2007, the European Parliament and the European Council passed a resolution for the introduction of comprehensive regulation of roaming tariffs for calls within the European Union. In 2009, the validity of this Regulation was extended until 2012 and its scope expanded to cover roaming SMS and data services on the basis of a subsequent provision. This provision affects the Telekom Austria Group's mobile communication companies in the EU member states Austria, Slovenia and Bulgaria.

The Telekom Austria Group is party to a number of legal proceedings both in and out of court with authorities, competitors and other parties. An ongoing dialogue with stakeholders and a regular exchange of information on controversial issues, which could pose a threat to the company, enable the Group to identify problems early on and develop measures to counteract them.

Financial and Economic Risks

The Telekom Austria Group is exposed to liquidity, loss, currency, transfer and interest-rate risks. Medium and short-term financing instruments in a variety of currencies and with different legal frameworks can only limit these risks. A liquidity reserve is held in the form of lines of credit and cash in order to safeguard solvency and financial flexibility. Details of the financial and economic risks are described in the Notes to the Consolidated Financial Statements under the heading Financial Instruments.

Derivative financial instruments were used by the Telekom Austria Group's financing company (Telekom Finanzmanagement GmbH (TFG), to manage sustained fluctuations in interest rates and minimize the risk of currency translation effects. The company has established a control environment, which includes policies and procedures for risk assessment, approval, reporting and monitoring of derivative financial instruments. The company is not a party to leveraged derivatives and corporate policies prohibit the holding or issuing of financial instruments for speculative purposes.

The market risk pertaining to long-term debt and derivative instruments is quantified using value-at-risk models. In 2003 and 2008, TFG entered into interest rate swaps.

Exposure to Credit Risks

The Telekom Austria Group regularly monitors its exposure to credit risk; there is no significant credit risk exposure with regard to any individual business partner or any individual financial instrument. To reduce the non-performance risk relating to contractual obligation in derivatives, the swap contracts are subject to Swap Dealer Agreements.

During the financial crisis, existing cross-border leases were dissolved or, in some cases, restructured. Additional collateral was provided for A1 Telekom Austria AG's future payment obligations relating to the US cross-border leasing transactions in the form of AAA rated US federal bonds. Moreover, the counter-party risk of the struggling American International Group (AIG) has been secured by a long-term hedge with a European bank with a high credit rating. The transaction is therefore expected to expire in accordance with the terms of the contract in 2013.

Safeguarding the Value of Assets

Each year the Telekom Austria Group tests assets, in particular equity stakes in other companies, for impairment. In the course of the impairment tests, which are carried out at least once a year, but also whenever internal or external events make it necessary, each company is subjected to detailed scrutiny on the basis of the business plan.

Personnel

Almost 57% of the Austrian segment's workforce has civil servant status, making it impossible to

terminate their contracts. Consequently, management has only limited scope to adjust the headcount to the future volume of business.

To address the structure of personnel costs, the Austrian segment has, therefore, in cooperation with workforce representatives, developed models that enable employees with civil servant status to be transferred to government bodies (Ministry of Internal Affairs, Ministry of Finance or the Ministry of Justice). After a successful trial period and with the consent of all parties, this transfer is made permanent.

Technical and Geographical Risks

Force majeure, human error and faulty materials can cause damage to the technical infrastructure of the Telekom Austria Group.

Technological progress also creates risks due to the speed with which the infrastructure reaches its end-of-life.

Effective measures to ensure maximum network reliability and fault tolerance encompass redundant critical network components, firewalls, self-defending networks and the implementation of the highest safety standards.

Due to its expansion into Eastern and South-Eastern Europe, the Group operates in markets that have been experiencing political and economic changes, which could affect the business activities of the Telekom Austria Group. ■

Internal Control System for Financial Reporting

Even after delisting from the New York Stock Exchange, the Telekom Austria Group is retaining its internal control system for financial reporting (ICS) and thus complies with all EU standards, which became mandatory for the first time in 2009. The internal control system should ensure adequate certainty regarding the reliability and correctness of the external financial reporting in compliance with national and international standards. Regular internal reporting to management and internal audits of the internal control system also help ensure that risks are promptly identified early on and properly reported. The most important contents and principles apply to all Telekom

Austria Group companies. Each important financial transaction has a risk and control matrix behind it to ensure that financial reporting is correct and complete.

The effectiveness of this system is surveyed, analyzed and evaluated at regular intervals. At the end of the year, a management evaluation of the companies under scrutiny is carried out in consultation with the business departments. Based on the results of this evaluation and the defined criteria, management confirmed the effectiveness of the internal control system as of December 31, 2010. The internal control system complies with all legal regulations. ■

Sound risk control
based on the combination
of business planning
and risk management

Outlook 2011:
Revenues of up to EUR 4.60 billion
EBITDA comparable of up to EUR 1.60 billion
Capital expenditures of up to EUR 800 million
Operating free cash flow of
approximately EUR 800 million

Major Subsequent Events

On January 25, 2011 the Telekom Austria Group became the sole owner of the Bulgarian fixed line operator Spectrum Net AD acquiring a 100% stake in the company through its Bulgarian subsidiary Mobiltel.

On February 3, 2011, the Telekom Austria Group also acquired an 80% stake in a second Bulgarian fixed line operator, Megalan Network AD, and committed itself to buying the remaining 20% stake by March 31, 2012.

The purchase price for the acquisition of a 100% stake in both companies amounted to approximately EUR 83,000 (cash and debt-free) and includes variable components amounting to EUR 11,500, payment of which depends on the fulfillment of predetermined performance criteria. The two companies will be included in the accounts of the Bulgarian segments as of the first quarter of 2011. The purchase price allocation has not yet been finalized.

To address the structure of personnel costs in Austria, new social plans for civil servants and employee were drawn up in consultation with employee representatives. The new social plans, which came into effect on January 19, 2011, will run until December 31, 2011 and include early retirement, temporary leaves and other severance packages. The social plans are one means with which the company seeks to stabilize personnel costs in a mutually acceptable and socially compatible manner.

Outlook

The Telekom Austria Group expects that the market environment in 2011 will continue to be shaped by negative external effects, strong competition and a slow recovery. These negative external effects mainly encompass unabated fixed-to-mobile substitution in Austria, continued price and competitive pressure in all the Group's major markets and the impact of regulatory-induced lower roaming prices and mobile termination charges. A levy on certain mobile communication services in Croatia also constitutes an additional burden.

For the 2011 financial year, revenues are expected to amount to up to EUR 4.60 billion and EBITDA comparable to up to EUR 1.60 billion. Capital expenditures are forecast to reach up to EUR 800 million although this figure does not include investments in licenses or the acquisition of additional frequencies. Operating free cash flow, which is defined as EBITDA comparable less capital expenditures, is expected to amount to approximately EUR 800 million in 2011. This outlook is based on a constant currency basis.

The Telekom Austria Group intends to distribute 55% of free cash flow as a dividend. For the years 2011 and 2012 a dividend floor of EUR 0.76 per share will apply. Maintaining a stable investment grade rating of at least "BBB" (stable outlook) will remain central to the Group's financial profile.

A higher leverage corridor of 2.0x – 2.5x net debt/EBITDA comparable provides increased flexibility to balance share buybacks with growth projects. The start of share buybacks depends on the potential volume of growth projects. However, cash will always be returned to shareholders via share buybacks if leverage falls below 2.0x net debt/EBITDA comparable. A stable business and currency environment remains a general prerequisite for share buybacks.



Hannes Ametsreiter

The Management Board
Vienna, February 14, 2011



Hans Tschuden

Glossary

Information and Telecommunication Technology Terms

ALLmediaNET: Universal network on All-IP basis, in which backbone and access technologies as well as open media platforms converge to form a single standard for interactive multimedia services. Using the ALLmediaNET all forms of media (voice, Internet, television, video-on-demand, unified messaging) can be transported over a single network, providing highly diverse target groups with a wide range of content.

Churn Rate: The number of customers who change to another provider as a percentage of the average subscriber base over a certain period of time.

Competence Networks: EURESCOM, ETSI, ITU, BSF, UMTS-Forum, OMA, 3GPP; Cooperations that bundle the various levels of knowledge and experience of companies and institutions in order to achieve progress.

Digital Dividend: Digital dividend refers to frequencies within the UHF (Ultra High Frequency)-band, which have been freed up by the switchover from analogue to digital terrestrial radio services. The intention is to make the 790–862MHz frequency spectrum available for mobile communication services.

FTTEx – Fiber to the Exchange: A network architecture within a public telecommunication infrastructure that deploys fiber optic cables up to the local telephone exchange (access switch), whereas the ‘last mile’ to the customer is still realized with conventional copper lines.

HSPA+ (High Speed Packet Access Plus): A further evolution of UMTS to achieve even higher data rates than those achieved hitherto with HSDPA and HSUPA upgrades. Typical data rates are currently 21 Mbit/s and 28 Mbit/s based on MIMO technology.

ICT: Information and Communication Technology.

Internet Protocol (IP): Supplier-neutral transmission protocol for communication across different networks. IP specifies the format of the packets and serves as an addressing scheme.

LTE: Long-Term Evolution (LTE) is a mobile communication standard that has been defined as the successor to UMTS. The aim is to increase the transfer rate and further reduce latency with a new air interface and above all to increase spectrum flexibility with new spectrum slices. Of course, improving economic efficiency also plays an important role. By using the spectral efficiency of LTE, the standardization body, 3GPP, aims to exceed HSPA by a factor of 3-4.

Machine-to-Machine (M2M): Technologies that enable the exchange of information between different end-devices such as PCs, mobile phones and telematic systems or between an end-device and a central control station.

Mobile Penetration: Measures the percentage of the total population that uses mobile communication services.

Prepaid Market: Market for prepaid mobile communication services on the basis of rechargeable mobile phone cards.

Refarming: This refers to the reassignment i.e. redistribution of frequencies for services with higher value.

Roaming: Makes it possible to use mobile phones in a third-party network abroad. Pre-requisite is

a roaming agreement between one’s own mobile communication provider and at least one partner provider in the respective foreign country.

Smartphone: A smartphone is a mobile phone that offers more advanced computing ability and connectivity than a conventional feature phone. Smartphones usually allow the user to install and run advanced applications (known as apps) with additional functionalities.

Termination Charge: The operator of a subscriber network delivers calls, which are initiated in a third party telecommunication network, to a subscriber in its own network and charges a fee to the operator of the network, where the call originated.

UMTS (Universal Mobile Telecommunication System): Third-generation (3G) mobile communication standard, which enables the provision of high-performance services based on high transmission rates. Transmission speeds are up to 40 times higher than conventional GSM end-devices.

Unbundling: Subscriber lines and thus access to the end customer are made available to alternative network operators and Internet service providers.

VDSL2 (Very High Speed Digital Subscriber Line): Technology that permits significantly higher data transmission rates over conventional telephone lines than, for example, ADSL and which uses copper lines for the final section of the transmission route.

Video on Demand: Enables users to retrieve and play videos from a video server any time and in real time.

Wholesale: Reseller market; in the telecommunication market this refers to providers of voice telephony, data communications, mobile communication and Internet services.

WLL: Wireless Local Loop Technology (WLL) is used where it is impractical or too expensive to connect subscribers using a fixed line (local loop), e.g. in sparsely populated areas.

Stock Exchange & Financial Terms

ARPU (Average Revenue Per User): Average revenue per customer, commonly used figure in the mobile communication industry.

Austrian Futures and Options Exchange (ÖTOB): Platform at the Vienna Stock Exchange which organizes the trade in options and futures contracts, carries out the settlement of trades and ensures that the transaction is honored.

Austrian Traded Index (ATX): The key index of the Vienna Stock Exchange.

Capital Expenditures: Defined as “capital expenditures for tangible and intangible assets”, as included in the “cash flow used for investment activities” in the cash flow statement.

Code of Conduct: The Code of Conduct of the Telekom Austria Group provides Group-wide behavior guidelines and regulates the relationship with customers, suppliers and employees, as well as compliance with confidentiality requirements with regard to corporate and business developments. It guarantees the protection of assets, the fair settlement of conflicts of interest and the respect of rules about the acceptance of gifts as well as compliance with capital market regulations.

Compliance Guideline: Corporate regulations that specify organizational measures to prevent stock trading based on price-relevant information that is not yet available to the public as well as the confidential treatment of such insider information.

Corporate Governance: “Corporate constitution”, the Austrian Corporate Governance Code represents a set of rules for the responsible management and control of a company.

Cross-Border Leasing: Special cross-border form of leasing designed to arbitrage the difference in tax laws of different jurisdictions, e.g. different rules concerning depreciation.

Deferred Taxes: Balance sheet item to show fiscal valuation differences. In the case of temporary discrepancies between the group balance sheet and the fiscal balance sheet, both deferred tax assets and deferred tax liabilities are recognized in order to report the tax expenses in accordance with the group financial result.

Directors and Officers (D&O) Insurance: Corporate reimbursement Insurance that a company concludes for its governing bodies and managing directors to cover damages or defense costs in the event they are sued for wrongful acts while they were with that company.

Director’s Dealings: The trading of shares in a publicly listed company by the management of that company.

DJ Stoxx Telecom Index: Index comprising 25 European telecommunication companies.

EBITDA (Earnings Before Interest, Taxes, Depreciation and Amortization): EBITDA is defined as net profit excluding financial result, income taxes, depreciation and amortization charges.

EBITDA comparable: EBITDA comparable is defined as EBITDA adjusted for restructuring charges, and when applicable, for impairment charges.

EBITDA Margin: EBITDA as a percentage of revenues.

Employee Stock Option Program (ESOP): Stock option program for members of the Management Board and other executives, who significantly influence the company’s business performance (see Stock Option Program).

Euro Medium Term Note Program (EMTN): Internationally recognized documentation (terms and conditions) for bonds, which also forms the basis for subsequent issuances.

EVA (Economic Value Added): Operating income after taxes less cost of capital deployed – indicator measuring a company’s creation of value.

FTSE4Good Index: Group of indices, which includes companies that meet international standards for responsibility toward the environment and stakeholders (owners, employees, customers, society).

Free cash flow: Cash flow generated from operations after capital expenditures in existing business areas.

GRI (Global Reporting Initiative): Guidelines that were drawn up in a participatory process and which are used for the preparation and evaluation of sustainability reports.

IFRS (International Financial Reporting Standards): Accounting standards drawn up by the International Accounting Standards Board (IASB – formerly the International Accounting Standards Committee, IASC). In addition to the International Financial Reporting Standards (IFRS) and the International Accounting Standards (IAS) of the IASB, they also comprise the interpretations of the International Financial Reporting Interpretations Committee (IFRIC) and the interpretations of the Standing Interpretations Committee (SIC).

Investment Grade Rating: Is awarded to companies or bonds that are deemed to have a low risk of default.

Long Term Incentive Program (LTI): An incentive program for Management Board members and executives based on a performance-oriented allocation of shares. The Long Term Incentive Program (LTI) replaces the Employee Stock Option Program (ESOP).

Market Capitalization: Number of shares multiplied by the share price.

Net Debt: Debt less cash and cash equivalents and financial assets.

Net Debt to EBITDA: Net debt net of cash and cash equivalents in relation to EBITDA; measure of the pay-back period for debt on the basis of net debt and EBITDA.

ÖIAG: Acronym for Österreichische Industrie Holding AG, which administers the investments of the Republic of Austria in partially or fully state-owned companies.

OTC (Over the Counter)-Market: Market where securities are traded directly between dealers outside the stock exchange.

Provision: A present obligation recorded in the balance sheet for future liabilities, whose amount and maturity have not been explicitly defined.

Rating: A credit rating assesses the credit worthiness of a borrower. These evaluations are usually made by specialized rating agencies such as Standard & Poor’s or Moody’s in the form of rating codes ranging from A to D.

Return on Invested Capital (ROIC): This is calculated by dividing operating income after taxes by the average invested capital.

ROE (Return on Equity): Net income divided by average equity, an indicator that measures the yield on equity.

Stock Option Program: The decision-makers of a company receive options that entitle them to purchase shares at a predefined price provided they meet the agreed performance targets.

Total Shareholder Return (TSR): Total return comprising share price appreciation, share buybacks and dividends.

TELEKOM AUSTRIA GROUP

We are creating new digital opportunities
to put education within everyone's reach.

